SIP biz update to Chris

28 Aug 2025

Performance: Continue strong growth momentum across 4 BUs into Q3-25; on track to FY25 ADO 196k (+64% YoY, %CB +2.2pp), PC2 $47.8M (+$16.6M YoY), UE healthy at $0.7/order

SIP performance and projection FY24 and FY25

	Q1'24	Q2'24	Q3'24	Q4'24	FY24	Q1'25	Q2'25	Q3'25	Q4'25	FY25	FY25 YoY
ADO	**100,132**	**106,884**	**113,762**	**154,767**	**119,504**	**161,434**	**170,503**	**201,230**	**249,932**	**196,032**	**+64%**
...Local SIP	72,354	77,249	88,892	126,560	91,354	130,186	134,228	155,218	169,305	147,363	+61%
...CN SIP	27,726	27,759	21,453	20,901	24,459	21,200	22,917	28,692	52,977	31,526	+29%
...Direct	52	1,876	2,842	5,836	2,668	6,115	7,337	9,793	17,167	10,133	+280%
...WH Cross selling			575	1,470	1,023	3,933	6,021	7,526	10,482	7,010	+585%
ADO as %CB	**3.8%**	**3.9%**	**4.0%**	**5.0%**	**4.2%**	**5.6%**	**5.9%**	**6.6%**	**7.3%**	**6.4%**	**+2.2pp**
ADG (USD)	**$1,066,886**	**$1,108,148**	**$1,175,368**	**$1,591,801**	**$1,239,870**	**$1,659,360**	**$1,792,838**	**$2,037,480**	**$2,496,525**	**$1,998,957**	**+61%**
...Local SIP	$846,646	$861,831	$961,599	$1,338,484	$1,002,948	$1,392,520	$1,475,757	$1,631,716	$1,780,531	$1,571,363	+57%
...CN SIP	$217,364	$233,256	$174,112	$173,452	$199,546	$157,008	$186,032	$236,519	$429,116	$252,871	+27%
...Direct	$2,876	$13,061	$35,609	$70,668	$30,753	$83,867	$94,247	$128,316	$233,794	$135,448	+340%
...WH Cross selling			$4,048	$9,197	$6,623	$25,965	$36,802	$40,929	$53,084	$39,274	+493%
ADG as %CB	**5.6%**	**5.6%**	**5.7%**	**6.8%**	**6.0%**	**7.6%**	**7.8%**	**8.5%**	**9.1%**	**8.3%**	**+2.3pp**
PC2 (USD M)	**$8.1**	**$7.1**	**$7.4**	**$8.6**	**$31.2**	**$10.1**	**$9.0**	**$12.9**	**$15.9**	**$47.8**	**+$16.6**
...Local SIP	$6.3	$5.4	$6.0	$6.7	$24.4	$9.1	$7.5	$11.6	$12.8	$41.0	+$16.6
...CN SIP	$1.8	$1.7	$1.4	$1.9	$6.8	$1.0	$1.5	$1.3	$3.1	$6.8	+$0.0
PC2%	**8.5%**	**7.1%**	**7.1%**	**6.2%**	**7.1%**	**7.2%**	**5.9%**	**7.5%**	**7.8%**	**7.2%**	**+0.1pp**
UE (PC2 per order)	**$0.9**	**$0.7**	**$0.7**	**$0.6**	**$0.7**	**$0.7**	**$0.6**	**$0.8**	**$0.8**	**$0.7**	**+$0.0**
...Local SIP	$1.0	$0.8	$0.7	$0.6	$0.7	$0.8	$0.6	$0.8	$0.8	$0.8	+$0.0
...CN SIP	$0.7	$0.7	$0.7	$1.0	$0.8	$0.7	$0.7	$0.5	$0.6	$0.6	-$0.2
[Benchmark] CN 3P (incl. CNSIP)	*$0.6*	*$0.5*	*$0.6*	*$0.6*	*$0.6*	*$0.6*	*$0.5*	*$0.6*	*$0.6*	*$0.6*	*+$0.0*

Highlights

Revised up FY25 topline and PC2 growth projection

ADO: 196k, +64% YoY, up from +51% YoY in May biz update

ADG: $2.0M, +61% YoY, up from +55% YoY in May biz update

PC2: $47.8M, +$16.6M YoY, up from +$11.0M in May biz update

UE: healthy at $0.7/order, higher than CNCB MP SLS UE benchmark at $0.6/order; CNSIP YoY drop due to 1) reinvesting PC2 to boost new SKU growth in Q3-25; 2) new-to-market commission waiver

SIP: Operating 39 cross-selling lanes local+CNSIP combined; YoY +80% export sellers, +86% ADO-generating SKUs; +69% ADO, +70% ADG

Export market	# export lanes	# active sellers			# live SKUs			# performing SKUs			ADO			ADG		
		Jul-24	Jul-25	YoY	Jul-24	Jul-25	YoY	Jul-24	Jul-25	YoY	Jul-24	Jul-25	YoY	Jul-24	Jul-25	YoY
ID	8	704,371	1,248,617	77%	19.6M	86.0M	338%	376,663	652,613	73%	47,909	86,263	80%	455,568	759,186	67%
VN	5	302,024	403,956	34%	10.0M	16.7M	68%	133,207	191,560	44%	15,692	21,537	37%	154,101	233,997	52%
MY	3	113,290	210,448	86%	2.3M	6.4M	181%	105,901	268,130	153%	9,472	30,354	220%	156,305	380,014	143%
TH	3	91,934	203,823	122%	2.1M	12.3M	490%	44,240	114,178	158%	3,647	8,652	137%	51,094	132,179	159%
PH	2	46,793	82,009	75%	1.5M	3.2M	111%	18,568	34,531	86%	1,234	2,294	86%	17,302	36,699	112%
TW	2	12,864	33,118	157%	0.4M	3.3M	751%	15,606	24,413	56%	865	1,095	27%	22,179	34,470	55%
SG	3	NA	14,455	/	NA	0.4M	/	NA	2,607	/	NA	140	/	NA	6,012	/
BR	3	NA	14,085	/	NA	0.8M	/	NA	0	/	NA	276	/	NA	1,668	/
CN	10	157,381	358,578	128%	12.6M	57.8M	359%	117,097	221,033	89%	24,849	24,589	-1%	197,743	210,965	7%
Total	**39**	**1,428,657**	**2,569,089**	**80%**	**48.5M**	**186.9M**	**286%**	**811,282**	**1,509,065**	**86%**	**103,667**	**175,200**	**69%**	**1,054,293**	**1,795,190**	**70%**

Highlights

- **Seller & SKU growth**: active sellers **+80% YoY**, live SKUs **+286% YoY** driven by 1) SKU migration efficiency improvement 2) revamped CNSIP seller acquisition
- **SKU effi growth**: performing SKUs **+86% YoY**; ADO **+69% YoY**; ADG **+70% YoY**, driven by 1) lower price (non-performing SKU price cut, SLS rate reduction), 2) higher marketing ROI (new SKU incubation, ads optimization automation, new traffic sources like AMS, video, seller programs)
- Growth leaders
  - **MYSIP:** ADO **+220% YoY**, driven by shorter LT (XDD), price cuts, SKU migration, and collection point launch
  - **THSIP**: ADO **+137% YoY**, driven by TH BPSF waiver, TH fashion SKU push
  - **CNSIP**: momentum picking up in Q3 with revamp efforts; on track to **double ADO by EOY**

Direct selling: On track to launch 22 Direct lanes by EOY; target 21k ADO (+12% lane total) by Dec-25, 106k ADO (+52% lane total) by Dec-26

Export market	Direct lane	Launch timeline	Pitching pool		# sellers			# SKUs			Direct ADO			Direct + Local SIP ADO		
			# sellers	Local ADO %	Aug-25	Dec-25	Dec-26	Aug-25	Dec-25	Dec-26	Aug-25	Dec-25	Dec-26	Aug-25	Dec-25	Dec-26
MY	MYSG	Mar-24	210,136	89%	7,340	11,327	94,341	607,118	901,466	8,018,968	10,824	15,707	41,212	38,661	44,005	71,912
	MYPH	Sep-25			-	5,956	11,127	-	127,238	193,398	-	168	3,447	4,282	5,306	10,276
	MYTH	Sep-25			-	1,294	7,131	-	16,488	53,855	-	39	403	732	976	1,408
ID	IDMY	Jun-25	971,769	84%	1,621	10,396	19,333	159,097	940,569	1,732,967	91	1,926	13,961	47,265	52,857	72,410
	IDSG	Sep-25			-	2,711	50,561	-	289,063	1,527,897	-	372	5,575	10,429	11,109	18,669
	IDPH	Sep-25			-	25,368	49,499	-	752,310	1,238,809	-	471	15,359	29,913	37,520	61,175
	IDTH	Oct-25			-	2,235	49,997	-	89,789	579,531	-	88	2,871	3,541	3,975	7,574
	IDTW	Nov-25			-	1,484	32,787	-	48,466	330,361	-	7	217	483	464	709
VN	VNMY	Jun-25	356,335	95%	1,500	3,893	7,526	117,069	289,219	527,645	158	1,348	5,629	11,007	12,658	18,246
	VNSG	Sep-25			-	12,338	19,190	-	216,872	304,522	-	128	2,147	3,239	3,348	6,377
	VNPH	Sep-25			-	2,451	18,858	-	177,083	304,153	-	74	3,074	4,400	5,159	10,134
	VNTH	Oct-25			-	594	10,447	-	56,211	120,579	-	55	1,625	2,585	2,814	5,411
	VNTW	Nov-25			-	1,681	17,859	-	34,252	141,024	-	15	270	523	558	1,005
TH	THPH	Sep-25	241,309	95%	-	1,026	12,713	-	203,532	210,952	-	276	3,958	4,192	4,751	9,955
	THMY	Oct-25			-	2,942	12,849	-	157,646	437,083	-	96	1,927	3,441	3,681	5,957
	THSG	Oct-25			-	1,027	12,837	-	109,872	391,608	-	78	1,429	1,603	1,659	3,400
SG	SGMY	Sep-25	37,567	88%	-	1,580	1,969	-	16,246	66,821	-	3	171	83	152	377
	SGTH	Nov-25			-	1,379	1,977	-	3,569	73,515	-	1	242	34	43	324
PH	PHMY	Sep-25	89,864	92%	-	1,966	4,982	-	68,852	124,230	-	11	1,092	1,129	1,165	2,211
	PHSG	Oct-25			-	1,966	6,569	-	30,227	184,608	-	33	1,008	1,425	1,438	2,643
TW	TWMY	Nov-25	42,195	48%	-	133	2,479	-	19,318	137,868	-	3	188	430	442	744
	TWSG	Nov-25			-	113	2,479	-	24,591	108,731	-	6	348	664	744	1,234
Total			**1,949,175**	**86%**	**10,461**	**93,860**	**447,510**	**883,284**	**4,572,879**	**16,809,125**	**11,073**	**20,905**	**106,153**	**170,060**	**194,824**	**312,150**
Growth vs Aug-25					**-**	**797%**	**4178%**	**-**	**418%**	**1803%**	**-**	**89%**	**859%**	**-**	**15%**	**84%**

Highlights

Direct target pool: 1.9M sellers, representing **86% local market ADO**

Aug EOM: Launched **3 direct selling lanes** MYSG/IDMY/VNMY; on track to **11k active sellers, 11k ADO**

Dec-25: On track to launch **22 direct selling lanes**, growing **94k active CB sellers** from local markets by Dec-25, contributing **21k ADO** incremental to SIP (**+12% lane total**)

Dec-26: target to grow direct selling business to **450k active sellers**, **106k ADO** incremental to SIP (**+52% lane total**)

Aug-Dec SIP team focus: continue growth momentum with 1) automate SIP optimization initiatives; 2) launch and scale up direct selling; 3) assess opportunity space to scale up warehouse cross-selling regionally

BU	Key growth levers Jan-Jul	Key growth levers Aug-Dec	ADO		
			Jan-25	Aug-25	Dec-25
Local SIP	• **Improved SKU acquisition and migration** • **Improved marketing ROI**, shifting budget to high ROI SKUs, dedicate budget to new SKU incubation • **Improved price competitiveness**, remove markup from non-performing SKUs	• **Automate marketing/pricing optimization initiatives** • **Grow penetration in PH and TH** via focus categories and local seller programs • **Accelerate trendy SKU push**	119,943	159,520	174,793
CNSIP	• **Expanded seller/SKU/ADO coverage** of CNCB • **Improved seller acquisition** and seller education • Replicated local SIP best practices	• **Continue driving up SKU supply** (increase coverage, acquisition, system migration effi) • **Double-down on ADO drivers** (price bidding, AMS, video) • **Optimize new SKU incubation**	18,852	24,874	56,445
Direct selling	• **Built system infrastructure** with improvement pipeline • **Mobilized local market resources** to soft-launch • **Supported local markets** in seller pitching, support, and ADO driving initiatives	• **Complete launch of 22 lanes** • **Scale up SKU acquisition and SKU effi improvement** with local markets • **Establish regional support framework and ops** for growth (e.g. guidebooks, SOPs, payment ops)	5,571	11,073	20,905
WH cross-selling	• **Improved SKU migration efficiency** from MYWH>SG • **Launched CB FBS and local FBS cross-selling** capabilities with SIP	• **Improve SKU migration** • **Drive SKU effi** via local seller program • **Explore scale-up of local FBS x SIP** in ID, VN and other SIP lanes	2,949	7,218	11,127

SIP Monthly Meeting

25 Aug 2025

Agenda (25 Aug)

1. **Performance**

2. **Projects**
   - 2.1. CS update
   - 2.2. Fraud update
   - 2.3. CNSIP revamp update
   - 2.4. Regional direct selling roll-out
   - 2.5. BR-MY assessment

Performance

Topline & P&L - Jul full month: ADO 193k, 106% RR, %CB +0.3pp MoM; ADG $2.0M, 104% RR, %CB +0.5pp MoM; combined PC2 $4.2M, $1.4M above target, +$0.8M MoM

BU / program	Jul 25 Full-month					Target	
	Jul Actual	Target	RR	M-1	MoM	Jul 25	Aug 25
ADO	**192,868**	**182,014**	**106%**	**190,100**	**7%**	**182,014**	**195,174**
... Local SIP	151,873	143,902	106%	151,955	0%	143,902	151,096
... CN SIP	24,882	24,161	103%	23,628	5%	24,161	27,103
... Direct Selling	8,896	8,049	111%	7,890	13%	8,049	8,877
... WH cross-selling	7,218	5,902	122%	6,627	9%	5,902	8,098
ADO as % CB	**6.4%**	**6.3%**	102%	**6.1%**	**0.3%**	**6.3%**	**6.4%**
ADG	**$1,969,442**	**$1,898,559**	**104%**	**$1,881,232**	**5%**	**$1,898,559**	**$1,984,768**
... Local SIP	$1,596,841	$1,558,233	102%	$1,544,156	3%	$1,558,233	$1,572,722
... CN SIP	$214,171	$190,811	112%	$195,625	9%	$190,811	$235,618
... Direct Selling	$113,905	$110,271	103%	$100,031	14%	$110,271	$118,952
... WH cross-selling	$44,526	$39,243	113%	$41,419	8%	$39,243	$57,476
ADG as % CB	**8.4%**	**8.4%**	100%	**7.9%**	**0.5%**	**8.4%**	**8.6%**
Seller PC2 (USD)	**$82,347**	**-$492,285**	**$574,632**	**-$194,551**	**$276,898**	**-$492,285**	**-$476,540**
... Local SIP	$282,543	-$306,251	$588,794	$6,426	$276,117	-$306,251	-$287,588
... CN SIP	-$200,196	-$186,034	-$14,162	-$200,977	$781	-$186,034	-$188,952
MP PC2 (USD)	**$2,981,024**	**$2,577,014**	**$404,010**	**$2,617,531**	**$363,493**	**$2,577,014**	**$3,377,433**
... Local SIP	$3,015,270	$2,547,748	$467,522	$2,595,052	$420,218	$2,547,748	$3,414,737
... CN SIP	-$34,246	$29,266	-$63,512	$22,479	-$56,725	$29,266	-$37,303
SLS PC2 (USD)	**$1,150,557**	**$722,497**	**$428,060**	**$933,038**	**$217,519**	**$722,497**	**$986,455**
... Local SIP	$672,331	$310,552	$361,779	$514,818	$157,513	$310,552	$465,535
... CN SIP	$478,226	$411,945	$66,281	$418,220	$60,006	$411,945	$520,920
Combined PC2 (USD)	**$4,213,928**	**$2,807,226**	**$1,406,702**	**$3,356,018**	**$857,910**	**$2,807,226**	**$3,887,348**
... Local SIP	$3,970,144	$2,552,049	$1,418,095	$3,116,296	$853,848	$2,552,049	$3,592,684
... CN SIP	$243,784	$255,177	-$11,393	$239,722	$4,063	$255,177	$294,664
Combined PC2 % GMV	**7.5%**	**5.2%**	**145%**	**6.4%**	**1.1%**	**5.2%**	**6.9%**

[Topline]

Local SIP: 152k ADO, 106% RR, CB% +0.29pp MoM, driven by internal ads optimization and campaign push, despite lower marketing budget vs Jun

CNSIP: 25k ADO, 101% RR, CB% +0.07p.p MoM; mainly driven by new SKUs

Direct: **8.9k ADO, 111% RR, CB% +0.01pp MoM**; mainly driven by MYSG lane MoM new sellers incubated via co-share vouchers and auto opt-in for Adxpress

WH cross-selling: **7.2k ADO, 121% RR, CB% +0.01pp MoM**; mainly driven by 1) CB FBS Direct SKU growth, 2) CB choice 237% RR (target under projected)

[Combined PC2]

Local SIP: $3.97M PC2, $1.42M above target, mainly because 1) seller PC2 $0.59M above target as we held P&L buffer while switching P&L reporting basis per reg FPC guidance; 2) MP PC2 $0.47M above target driven by topline growth; 3) SLS PC2 $0.36M above target due to lower ASF from 21 Jul, following successful H2 vendor RFQ renegotiation

CNSIP: Jul $243k PC2, $11k below target, mainly due to 1) seller PC2 **$14k below target** to reinvesting 5% GMV to incubate new SKUs; 2) MP PC2 **$63k below target, -$57k MoM** due to higher PRM; partially offset by SLS PC2 growth with topline

Topline & P&L - Aug EOM proj: ADO 209k, 107% RR, %CB +0.7% MoM; ADG $2.1M, 106% RR, %CB +0.7% MoM; combined PC2 $4.4M, $0.5M above target, +$0.2M MoM

BU / program	MTD	Projection	Target	RR (proj)	M-1	MoM (proj)	Target	
							Aug 25	Sep 25
ADO	**213,551**	**209,228**	**195,174**	**107%**	**192,868**	**8%**	**195,174**	**211,948**
... Local SIP	163,778	159,520	151,096	106%	151,873	5%	151,096	158,782
... CN SIP	29,857	29,294	27,103	108%	24,882	18%	27,103	32,348
... Direct Selling	10,920	11,129	8,877	125%	8,896	25%	8,877	9,704
... WH cross-selling	8,996	9,285	8,098	115%	7,218	23%	8,098	11,114
ADO as % CB	**6.8%**	**7.1%**	**6.4%**	**108%**	**6.4%**	**0.7%**	**6.4%**	**6.9%**
ADG	**$2,116,487**	**$2,096,480**	**$1,984,768**	**106%**	**$1,969,442**	**6%**	**$1,984,768**	**$2,172,528**
... Local SIP	$1,671,102	$1,646,089	$1,572,722	105%	$1,596,841	3%	$1,572,722	$1,682,506
... CN SIP	$247,473	$244,631	$235,618	104%	$214,171	14%	$235,618	$282,830
... Direct Selling	$142,856	$149,129	$118,952	125%	$113,905	31%	$118,952	$130,034
... WH cross-selling	$55,055	$56,631	$57,476	99%	$44,526	22%	$57,476	$77,158
ADG as % CB	**8.6%**	**9.1%**	**8.6%**	**106%**	**8.4%**	**0.7%**	**8.6%**	**8.8%**
Standalone PC2 (USD)	**-$180,892**	**-$286,892**	**-$476,540**	**$189,648**	**$82,347**	**-$369,239**	**-$476,540**	**-$280,667**
... Local SIP	$98,753	-$100,343	-$287,588	$187,245	$282,543	-$382,886	-$287,588	-$289,944
... CN SIP	-$279,645	-$186,549	-$188,952	$2,403	-$200,196	$13,647	-$188,952	$9,277
MP PC2 (USD)	**$1,718,782**	**$3,451,533**	**$3,377,433**	**$74,099**	**$2,981,024**	**$470,509**	**$3,377,433**	**$3,607,096**
... Local SIP	$1,634,967	$3,360,763	$3,414,737	-$53,974	$3,015,270	$345,493	$3,414,737	$3,653,103
... CN SIP	$83,815	$90,770	-$37,303	$128,073	-$34,246	$125,016	-$37,303	-$46,006
SLS PC2 (USD)	**$775,057**	**$1,219,127**	**$986,455**	**$232,672**	**$1,150,557**	**$68,570**	**$986,455**	**$1,065,839**
... Local SIP	$431,104	$656,096	$465,535	$190,561	$672,331	-$16,235	$465,535	$444,110
... CN SIP	$343,953	$563,031	$520,920	$42,111	$478,226	$84,804	$520,920	$621,729
Combined PC2 (USD)	**$2,312,947**	**$4,352,010**	**$3,887,348**	**$464,662**	**$4,213,928**	**$171,828**	**$3,887,348**	**$4,392,268**
... Local SIP	$2,164,824	$3,884,759	$3,592,684	$292,075	$3,970,144	-$70,719	$3,592,684	$3,807,269
... CN SIP	$148,123	$467,252	$294,664	$172,587	$243,784	$242,547	$294,664	$584,999
Combined PC2 % GMV	**6.7%**	**7.4%**	**6.9%**	**107%**	**7.5%**	**0.0%**	**6.9%**	**7.4%**

[Topline]

Local SIP: proj 159k ADO, 106% RR, CB% +0.4pp MoM, driven by MY/SG fashion push and new SKU ads optimization

CNSIP: proj 29k ADO, 108% RR, CB% +0.2pp MoM; driven by new SKU ADO growth (+55% MoM) and non-performing SKU price reduction

Direct: proj 11k ADO, 125% RR, CB% +0.1pp MoM; driven by seller/SKU growth +25%/+27% MoM

WH cross-selling: proj 9.3k ADO, 115% RR, CB% +0.1pp MoM; mainly driven by MYSG CB FBS Direct and CB Choice LFF growth, **proj ADG proj $55k, 99% RR** mainly due to delayed ramp up of MY local FBS

[Combined PC2]

Local SIP: proj $3.88M PC2, $0.29M above target, mainly because 1) seller PC2 $0.19M above target due to higher profit passback from ID, **-$383k MoM** driven by Jul P&L landed too positive; 2) MP PC2 **$54k below target** due to ads rev slightly behind target, to catch up ads spending by EOM; 3) SLS PC2 $0.19M above target in line with growth, **-$16k MoM** due to no longer benefit from the margin between the new ASF rate effective on 22 Jul and the cost reduction implemented on early Jul

CNSIP: proj $0.47M PC2, $0.17M above target, mainly because 1) MP PC2 above target $128k due to PRM ramped down in Aug; 2) SPS PC2 above target $42k due to ADO growth

BWT - Aug MTD: Most lanes on target; VNPH lane LT impacted by offloads in early Aug; LT recovered after mid-Aug

BU	Lane	Current month (Aug 25)					Benchmark	
		MTD	Target	RR (MTD)	M-1	MoM (MTD)	CNCB	vs. CNCB
Local SIP / Direct (Top 10 lanes)	IDMY	5.7	5.9	103%	5.7	0.1	5.8	-0.1
	MYSG	3.4	3.4	101%	3.2	0.2	5.2	-1.9
	IDPH	6.4	6.5	102%	6.7	-0.3	6.0	0.4
	VNMY	6.4	7.5	117%	6.5	-0.1	5.8	0.6
	IDSG	4.9	4.9	101%	4.7	0.2	5.2	-0.4
	VNPH	7.6	7.5	99%	7.2	0.4	6.0	1.6
	MYPH	6.1	7.2	118%	6.7	-0.6	6.0	0.1
	MYTH	6.1	7.4	122%	6.1	0.0	7.2	-1.1
	VNSG	5.7	6.4	112%	5.6	0.1	5.2	0.5
	VNTH	6.3	7.2	114%	6.1	0.2	7.2	-0.9
WH cross-selling	MYSG	2.3	2.4	104%	2.1	0.3	5.2	-2.9

Performance

- **VNPH 97% RR, +0.4 days MoM,** mainly due to the offload issue in early Aug which takes 1 weeks to recover. P3D LT has back to 7.4 days

Rest of Aug focus

- **IDSIP 24 Hrs X-ray Operation:** expect to improve by 0.1~0.2 days and be able to add morning pickup to improve the LH LT
- **MYSIP FM Direct ingestion:** adding more direct ingestion truck from FM SOCs, expect to have LT saving of 0.1~0.2 days

System/Product: Key system launches in Aug: 1) Direct one-button onboarding; 2) CNSIP SKU cross-migration; 3) Offboard Local Retail shop from SIP

#	Biz ETA	Confirmed ETA	Feature Name	P	Description	Status	Pipeline Submitted	OKR	Highlights
1	Q2 2025	TBC	SIP set regional discount	P1	Regional discount phase 2 to support SIP set. Projected ADO uplift of ~4.5k, annual incremental GMV USD 17.5M	FRF	Q1 2025	Growth	Biz launch to PH pending legal clearance and warehouse availability, ETA TBD
2	Q4 2024	Jul'25	Local SIP X Resell	P1	To onboard Local SIP to CB Resell biz model	Released	Q3 2024	Growth	
3	Q2 2025	Aug'25	IDMY SC - Auto Adjustment	P1	Supporting IDMY direct selling flow by introducing a Direct Escrow Type for payouts, with auto-adjustments to ID shops for MY orders.	UAT	Q3 2024	Operation efficiency	
4	Q2 2025	Aug'25	Support Manage Direct Selling with Shop Account	P1	Support Manage Direct Selling with Shop Account to increase Seller Onboarding Conversion Rate	Lived	Q2 2025	Growth	Feature lived 11/Aug
5	Q2 2025	TBC	Indicate Prim SKU Info in Affi Order Detailed Page	P1	Show Prim SKU info in Affi order details to help sellers match products accurately and avoid fulfillment mistakes	PRD	Q2 2025	Growth	
6	Q2 2025	TBC	Use Lowest Settlement Price for Affi SKUs	P1	For multiple MPSKUs under 1 MTSKU to lower down SIP price	FRF	Q2 2025	Growth	
7	Q2 2025	8/Aug	Support to publish SIP and non-SIP MPSKU under one MTSKU	P1	Support to create both SIP and non-SIP MPSKU in one region under one MTSKU	Lived	Q2 2025	Growth	Feature lived 8/Aug
8	Q3 2025	7 Sep	Sync discount price for direct sku	P1	Support to auto sync local seller discount promotion price to direct sku	PRD	Q2 2025	Growth	
9	Q3 2025	TBC	Support seller open new direct shop when already have SIP shop	P1	Sellers can operate both Direct Shops and SIP Shops in the same region under the same Main Shop.	PRD	Q2 2025	Growth	Pending go-live ETA 25/Aug
10	Q4 2025	TBC	Direct Selling Payment Solution Phase 2-Direct Balance	P1	Build a separate wallet for direct shop	PRD	Q4 2025	Growth	
11	Q2 2025	TBC	Support return direct shop to SIP	P1	Return direct shop to local SIP model, rebuild the listing and account structure	FRF	Q2 2025	User Experience	
12	May'25	Q3 2025	SIP Listing auto-resync failed cases and reason code enhancement	P1	Review and optimize existing list of listing resync fail reasons and to automate listing auto-resync based on reason code	Dev	Q2 2025	Growth	
13	Aug'25	7/Aug	Offboard Local Retail shop from SIP	P1	Allow Local Retail shop onboarded to Local SIP to offboard without delinking Retail Merchant and Retail shop and retain MT-MP SKU linkage	Lived	Q2 2025	User Experience	Live testing completed 19/Aug
14	Sep'25	10/Sep	Local SIP Order Sync Fail Alert optimization	P1	Optimize Local SIP order sync fail alerts provided by Order team to improve SIP operations and order handling	Dev	Q2 2025	User Experience	
15	Jun'25	TBC	Support JP CB SIP	P1	Allow JPCB sellers to use JPSC and join CB SIP	FRF	Apr 2025	Growth	
16	Q2 2025	Jul 2025	Local SIP P Order Escrow Extension	P0	Revamp Local SIP P order's escrow release trigger to avoid potential fraud between seller and buyer, by delaying P's escrow trigger to depend on A	Rollout	Apr 2025	Cost Reduction	
17	Q3 2025	12/Aug	Local SIP MYSG Bulky Channel	P1	Support Local SIP MY-SG bulky channel and re-direct Local MY P orders to local STO warehouse as buyer address	Live Testing	May 2025	Growth	SLS Ops channel config completed 20/Aug, live testing ongoing ETA to complete 27/Aug
18	TBC	TBC	ERP Binding: Pop-up Noti & Binding automation	P1	Support automation of pop-up and ERP binding for SIP A shops	FRF	Aug 2025	Operation efficiency	
19	TBC	TBC	CBSIP Price Calculation Revamp	P1	Enable region transaction fee used in SIP Item Price and ASKU price	FRF	-	User Experience	
20	TBC	TBC	SIP model-level weight/dimension	P1	Support model-level weight/dimension for SIP pricing logic	FRF	-	Cost Reduction	
21	Aug'25	TBC	Force update P order to cancelled	P0	To avoid fraud, force update P order to be cancelled when A order is cancelled by buyer	FRF	Aug 2025	Cost Reduction	
22	TBC	TBC	Local SIP P price selection logic enhancement	P1	Improve legacy SIP P price selection logic for P order settlement where SIP A order is placed using A-site promo	FRF	Aug 2025	Cost Reduction	

Projects

1. CS update

5 SIP CS topics for discussion today

#	Topic	Summary

1	SIP CS consolidation / reporting line change	• HC consolidation: transfer 332 SIP CS HCs to ID/PH
		  ○ 23 FTE (-39 vs current 62 FTE)
		  ○ 309 agents by Dec (+60 vs current 249 agents)
		• Reporting line change to SIP ops: ID completed; PH to start in Sep
		• **[Proposal for approval] Base agent management teams in ID & MY to ensure smoother transition and easier oversight from SG**

2	CS agent migration timeline to PH	• Prioritize SG migration in Sep • Roll out new chatbot alongside agent migration to improve shop CSAT ASAP • **Target completion Nov-25**
3	CS agent cost estimation and P&L implications to SIP	• By Dec-25, SIP seller P&L to absorb ~$186k/month agent cost • **[Proposal for approval] Keep SIP seller P&L OKR target at PC2 breakeven (accept PC3 negative after CS costs) to 1) protect topline growth; 2) higher combined P&L at Shopee level**

4	CS YTD performance and target till EOY	• Performance L3M
		  ○ Shop performance stagnant due to old chatbot
		  ○ Agent performance stable except long AWT
		  ○ **Next to focus on new chatbot rollout and PH migration to improve CSAT & conversion**
		• Target setting
		  ○ Agent performance benchmarked against CB SCS & local SBS/SCS
		  ○ **Shop performance target lower than benchmark considering CSAT/DR trade-off for SIP new chatbot**

5	CS performance deep-dive by location	• ID: Agent CRR and AWT recovered in Aug; **next to roll out new chatbot** All markets: shop CSAT missing target due to old chatbot; **next to speed up PH migration and new chatbot rollout to improve overall shop CSAT by 8pp by Dec-25**

1. SIP CS consolidation / reporting line change: By Dec-25, plan to consolidate 332 CS HCs to ID/PH b, 23 FTE (-39 vs current), 309 agents (+60 vs current); ID reporting line change completed, PH to start

Before consolidating to SIP

CS team	Local headcounts		
	Total	CS team	Agent
ID	**143**	12	131
SG	**36**	5	31
MY	**32**	6	26
PH*	**19**	3	16
TH**	**20**	19**	1
TW**	**11**	11**	-
VN	**8**	1	7
BR*	**34**	5	29
CO/CL/MX	**8**	-	8
1 **Total**	**311**	**62**	**249**

*PH/BR: both FTE & BPO are sharing resource which cannot fully transfer to SIP.
**TH/TW are using FTE for agent service, plan to transfer as BPO to SIP

>>>

After consolidating to SIP

CS team	SIP headcounts			Status
	Total	CS team	Agent	
ID	**158**	**12**	**146**	In progress
…HC transfer	**143**	12	131	In progress
…Newly added	**15**	-	15	To start
PH	**174**	11	163	To start
…HC transfer	**129**	11	118	To start
…Newly added	**45**	-	45	To start
2 **Total**	**332**	**23**	**309**	**-**

*Newly added HC is due to new chatbot rollout and increase ADO projection

Highlights

1 **Before**: SIP CS agents managed by 9 local CS teams, total 311 HCs, 62 FTEs + 249 agents

2 **After**: SIP CS agents managed directly by SIP Ops team, in 2 locations, **total 332 HCs, 23 FTEs + 309 agents by Dec-25**

- **- 39 FTEs** driven by 1) consolidate CS support HCs from PH/TH/VN/BR, 2) transfer TH/TW FTE to agents
- **+ 60 agents** driven by 1) TH/TW to add agent HC, 2) increase agent HC for new chatbot rollout & increase ADO projection

- **ID CS team reporting line change completed, PH CS team ramp-up to be completed by Nov-25** (correspondingly local CS team HC to reduce capacity)

1. SIP CS consolidation / reporting line change: [Proposal for approval] Propose to base agent management teams in ID and MY, to ensure smooth transition and easier management from SG

Role	Scope	SIP CS team structure (Dec-25)		Benchmark (Aug MTD)	
		SIP ID CS mgt team	SIP MY CS mgt team	CB choice	PH SBS
Reporting to	-	SIP ops (SG) 2	SIP ops (SG)	CB choice (CN)	PH SBS (PH)
Team lead	Team lead	1 FTE (ID)	1 FTE (MY)	1 FTE (CN)	1 FTE (PH)
Supporting function	Agent performance WFM, data Training, QA, system Supplier mgt, billing	1 FTE (ID) 10 contractor (ID)	10 FTE (MY)	3 FTE (CN)	4 FTE (PH)
Frontline agent	Agent team lead Frontline agents	136 BPO (inhouse) (ID) 10 contractors for L2 agents (ID)	163 BPO (external) (PH)	50-60 BPO (external) (PH)	51 BPO (external) (PH) [TBC]
Supporting function / frontline ratio	- 1	1:14	1:17	1:19	1:13

Highlights

1. SIP CS role ratio on par with CB choice and PH SBS
2. Propose to base the PH agent management and support team in MY

[Backup] PH agent management: Propose to base PH agent management team in MY, with existing dedicated SG/MY team to ensure faster, smoother migration. Revisit PH setup after migration stabilizes in H1-26

		Option 1 [Recommended]	Option 2
SIP CS team location		**MY**	**PH**
Agent location		PH	PH
Benchmark		CBSCS, MY MP, SG MP	PH local SBS
Key consideration	**CS team availability**	✅ Existing dedicated SIP SG/MY CS	❌ Shared resource with PH SBS/SCS
	SIP chats volume	✅ Majority of chat volume comes from **SG/MY import markets**	Most PH chats are currently handled by ID SIP
	Agent Management	Location: **Remote from agents in PH** Moderate cultural distance	Location : Same region, but remote-managing BPO in different city ✅ Culture: high culture alignment
	Ramp-up time	✅ Immediate	❌ 2+ month for new hiring PH SBS sharing CS PICs cannot transfer to SIP
	Cost	Medium due to cross-market setup and relatively higher FTE cost in MY	✅ Lower

2. CS migration timeline to PH: Prioritize SG migration in Sep with PH BPO hiring support; roll out new chatbot alongside agent migration to improve shop CSAT ASAP; target completion Nov-25

PH migration and Chatbot Rollout Proposal

SIP Buyer Market	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25
PH		New chatbot rollout			
1 SG			Migration+New chatbot		
MY				Migration+New chatbot	
TH	Pilot	Migration	Migration	New chatbot rollout	
TW	Pilot	Migration		New chatbot rollout	
VN					Migration+New chatbot
BR					Migration+New chatbot
MX,CO,CL					Migration+New chatbot
Total PH agent HC [Migration+chatbot]	19	37	85	130	163

Highlights

- **Rollout plan**
  - PH: complete chatbot rollout by Sep
  - 1 **SG: prioritize migration + chatbot rollout by Sep**
  - Other lanes: complete migration + chatbot rollout by Oct/Nov
- **Transition support as aligned with PH team**
  - PH to urgently add 10 BPO HC in Sep to support SG rollout
  - PH to provide transition support until SIP CS team is complete
  - PH to front local budget/invoice until SIP finalizes new P&L structure with Regional FP&A and HRBP

3. CS agent cost estimation: Estimated monthly BPO cost of $186k to SIP by Dec-25

	BPO HC#	2025/7	2025/8	2025/9	2025/10	2025/11	2025/12
ID agents	**IDSIP ADO**	**69,594**	**70,052**	**75,664**	**83,168**	**92,313**	**91,689**
	ID BPO HC Total	1 **94**	**99**	**110**	**127**	**132**	**136**
	SG	15	16	18	22	23	23
	MY	50	52	55	63	64	64
	PH	29	31	37	42	45	49
PH agents	**Non IDSIP ADO**	**84,870**	**90,922**	**98,808**	**112,188**	**124,652**	**123,305**
	Other BPO HC total	2 **174**	**174**	**178**	**195**	**163**	**163**
	SG	35	35	40	40	45	43
	MY	28	29	29	35	36	35
	PH	13	17	18	18	19	20
	TH	23	19	19	25	26	26
	TW	13	12	8	12	13	13
	VN	7	7	7	7	10	11
	BR	29	28	29	30	7	7
	MX/CO/CL	26	27	28	28	7	7
Total	**Total agent HC**	**268**	**273**	**288**	**322**	**295**	**299**
	Monthly agent cost	3 **$229,456**	**$217,206**	**$218,297**	**$240,527**	4 **$184,664**	**$185,635**

Highlights

[HC Trend]

1. **ID**: HC increase MoM, driven by 1) higher ADO projections; 2) lower deflection rates from new chatbot rollout, especially in Q4
2. **PH**: HC increase from Aug-Oct with ADO growth; HC reduce from Nov as LATAM agents shift to PH with higher productivity

[Cost trend]

- Overall: net cost reduction with PH migration
3. Spike in Oct: Extra HC in ID/MY/TH/TW to support new chatbot rollout
4. Reduction in Nov: Lower HC from Latam migration to PH

3. CS agent cost P&L impact: [Proposal for approval] Propose to keep the seller P&L target to be PC2 breakeven (PC3 negative after incorporating CS costs), to protect topline growth and achieve better combined P&L

Context

- Current OKR target for SIP seller P&L: PC2 breakeven (except MYSG -3%)
- CS agent cost (and FTE cost) to be booked in SIP seller PC3

Options of seller P&L targets going forward

- **[Recommended] Option 1: Seller PC2 breakeven, Seller P&L negative with CS cost in PC3**
  - Pros: no impact to topline, combined P&L better than option 2; Cons: Export market P&L more negative
- **Option 2: Seller PC3 breakeven, require budget cut at PC2**
  - Pros: no impact to export market P&L (breakeven); Cons: lower topline from lower marketing budget or higher pricing to absorb CS costs, combined P&L worse than option 1

Dec'25 P&L view (in USD)	Local SIP			CNSIP		
	Option 1 PC2 breakeven	Option 2 PC3 breakeven	Difference	Option 1 PC2 breakeven	Option 2 PC3 breakeven	Difference
Topline						
ADO	174,793	166,053	-8,740	52,082	49,478	-2,604
ADG	$1,829,447	$1,737,974	-$91,472	$458,396	$435,476	-$22,920
P&L						
CS agent cost	-$148,441	-$148,441	$0	-$37,194	-$37,194	$0
Seller PC2	-$326,333	-$161,575	$164,757	-$62,007	-$21,713	$40,294
Seller PC3	-$474,773	-$310,016	$164,757	-$99,201	-$58,907	$40,294
Seller P&L	-$474,773	-$310,016	$164,757	-$99,201	-$58,907	$40,294
A MP P&L	$4,165,166	$3,956,908	-$208,258	$142,103	$134,998	-$7,105
SLS P&L	$473,787	$450,097	-$23,689	$1,001,018	$950,967	-$50,051
Combined P&L	$4,164,179	$4,096,989	-$67,190	$1,043,920	$1,027,058	-$16,862

4. SIP CS YTD performance: Shop performance stagnant due to old chatbot; agent performance stable L3M except for long AWT; next to focus on 1) new chatbot rollout 2) PH migration catch up performance targets

SIP CS performance YTD metrics and focus

Sr #	Key Pillar	Metric	Actual					MTD	Target		Change		SIP Key Focus in 2025 Q4
			Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Dec-25	Aug vs Mar	Dec vs Mar	
Overall Shop Performance: Agent + Chatbot													
1	Revenue	Chatbot+Agent Conversion	10%	10%	10%	10%	9%	9%	13%	15%	0%	5%	[P0] Rollout new chatbot to improve shop conversion by 5%
2	UX	Shop CRR	99%	99%	97%	98%	99%	98%	98%	99%	-1%	0%	-
3	UX	Shop CSAT	54%	54%	63%	57%	53%	57%	58%	65%	3%	11%	[P0] Improve chatbot CSAT with new chatbot rollout
In Shop Agent													
4	Revenue	Agent Conversion Rate	13%	12%	10%	16%	13%	14%	14%	15%	1%	2%	[P0] Improve via 1) SOP standardization, 2)Manual pilot of upselling/cross-selling
5	UX	Agent CSAT	76%	83%	84%	85%	86%	85%	80%	85%	9%	9%	-
6	UX	Avg. Response Time (sec)	55	59	42	63	49	34	30	30	61%	174%	-
7	UX	Abandonment Rate	1%	1%	2%	2%	1%	1%	2%	2%	0%	1%	-
8	UX	Average Waiting Time in Queue (min)	5	5	23	11	9	15	5	4	-84%	20%	[P1] Improve the productivity and headcount planning; Performance drop due to high chat volume, See details on pages 24–27
9	Cost	Agent Productivity (L1)	11	13	16	16	16	16	15	16	47%	11%	-
Chatbot													
11	Revenue	Chatbot Conversion Rate	8.3%	7.8%	8%	8%	9%	9%	13.0%	15.0%	1.7%	7%	[P0] Rollout new chatbot to improve conversion and CSAT
12	UX	Chatbot CSAT	40%	39%	45%	34%	33%	37%	43%	52%	-3%	20%	
13	Cost	Chat Deflection Rate	67%	59%	55%	60%	69%	70%	60%	56%	3%	-12%	-

4. SIP CS monthly target review: Agent performance targets benchmarked against CB SCS and local SBS/SCS; Shop performance target 65% shop CSAT (+8 pp vs now) with new chatbot

SIP CS performance metrics and target

Sr #	Key Pillar	Metric	CB SCS	Local SBS/SCS	SIP					Remark
			Aug-25	Aug-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	
Overall Shop Performance:										
1	Revenue	Chatbot+Agent Conversion	-	15%	9%	13%	13.5%	14%	15%	SIP target relatively lower than local SBS/SCS due to low DR with new chatbo
2	UX	Shop CRR	-	98%	97%	97%	97%	98%	99%	-
3	UX	Shop CSAT	-	73%	57%	58%	60%	63%	65%	SIP target relatively lower than local SBS/SCS due to low DR with new chatbot
In Shop Agent										
4	Revenue	Agent Conversion Rate	14%	15%	14%	14%	14.5%	15%	15%	Targets aligned with CB SCS, local SBS/SCS
5	UX	Agent CSAT	83%	82%	80%	80%	80%	85%	85%	
6	UX	Avg. Response Time (sec)	30	60	30	30	30	30	30	
7	UX	Abandonment Rate	2.4%	3%	1%	2%	2%	2%	2%	
8	UX	Average Waiting Time in Queue (min)	12	4	5	5	5	4.5	4	To tighten the target after migration done.Targets aligned with CB SCS, local SBS/SCS by Dec 25
9	Cost	Agent Productivity (L1)	14	15	14	15	15	15.5	16	Targets aligned with CB SCS, local SBS/SCS
Chatbot										
10	Revenue	Chatbot Conversion Rate	-	15%	9%	12%	14%	14.5%	15%	SIP target relatively lower than local SBS/SCS due to low DR with new chatbot
11	UX	Chatbot CSAT	-	71%	40%	43%	46%	50%	52%	
12	Cost	Chat Deflection Rate	-	65%	65%	62%	60%	58%	56%	-

5. [ID] IDSIP CS performance: Agent ART, AWT issue fixed from 13 Aug; next step 1) roll out new chatbot; 2) start agent upsell by Oct, to improve Shop CSAT & CR

ID			Aug MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	19 Aug	18 Aug	17 Aug	16 Aug	15 Aug	14 Aug	13 Aug	18 Aug	11 Aug	04 Aug	28 Jul	Aug	Jul	Jun
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	82,158	84,363	71,633
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	87%	-	-	9%	9%	9%	10%	9%	1 -	9%	9%	9%	9%	9%	10%
UX	Shop CRR	%	97%	100%	-	-	98%	98%	97%	98%	97%	-	97%	97%	99%	98%	99%	98%
	Shop CSAT	%	54%	106%	-	-	66%	60%	56%	56%	58%	-	59%	58%	52%	57%	53%	56%
Agent performance																		
Revenue	Agent Coversion Rate	%	13%	103%	12%	16%	16%	16%	15%	17%	14%	14%	14%	14%	14%	13%	13%	19%
UX	Agent CSAT	%	80%	108%	84%	85%	86%	85%	86%	85%	84%	85%	85%	87%	86%	86%	87%	84%
	Agent Avg. Response Time(Sec)	Sec	30	81%	25	25	28	30	33	31	29	2 25	24	43	81	37	63	86
	Agent Abandonment Rate	%	2%	100%	2%	1%	1%	1%	1%	1%	1%	1%	2%	2%	2%	2%	2%	2%
	Avg. Waiting Time in Queue (Min)	Min	5.0	20%	7	2	2	2	2	5	4	3 5	32	26	10	24	14	11
Cost	Agent Productivity (L1)	%	14	100%	17	16	16	15	14	16	16	16	16	16	16	14	15	\
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	96%	-	-	9%	9%	9%	10%	9%	-	8%	9%	8%	9%	8%	8%
UX	Chatbot CSAT	%	40%	98%	-	-	36%	42%	41%	38%	36%	-	39%	41%	-	39%	35%	37%
	Chatbot Deflection Rate[Chatbot+FAQ]	%	65%	121%	-	-	85%	89%	87%	86%	85%	-	76%	79%	-	79%	78%	69%

Highlights

1 **Shop CR/CSAT** no improvement due to old chatbot; **next to focus on 1) roll out new chatbot ETA Sep-Oct; 2) start agent upsell to improve CR ETA end Aug**

2 **Average response time**

- Root cause: Ops raised chat concurrency to handle spike chats volume
- Action taken: 1) reduced concurrency (5 Aug); 2) reduced chat volume from no-ADO-generating shops (8 Aug)
- **Result: Performance back on track from 11 Aug week**

3 **Average waiting time**

- Root cause: Chat volume spikes from new SKUs, new shop onboarded, system issues, and manpower shortages
- Action taken: 1) Reduced chat volume from no-ADO-generating shops (8 Aug); 2) resolved system issue (13 Aug); 3) revised HC planning (15 Aug)
- **Result: Performance back on track fro 18 Aug week**

5. [SG] SIP-SG CS performance: All agent performance met target; shop conversion and CSAT issue are due to old chatbot; next step 1) prioritize migration to PH; 2) roll out new chatbot rollout; ETA end-Sep

SG			Aug MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	19 Aug	18 Aug	17 Aug	16 Aug	15 Aug	14 Aug	13 Aug	18 Aug	11 Aug	04 Aug	28 Jul	Aug	Jul	Jun
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	40,583	34,833	33,536
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	104%	-	-	12%	11%	12%	11%	10%	-	11%	11%	10%	11%	10%	9%
UX	Shop CRR	%	97%	100%	-	-	98%	98%	97%	98%	97%	-	97%	97%	99%	98%	99%	98%
	Shop CSAT	%	48%	95%	-	-	40%	41%	44%	41%	43%	-	43%	45%	43%	45%	42%	45%
Agent performance																		
Revenue	Agent Coversion Rate	%	13%	147%	16%	20%	21%	20%	21%	19%	17%	18%	19%	20%	19%	19%	18%	47%
UX	Agent CSAT	%	80%	102%	82%	87%	85%	74%	81%	78%	84%	84%	81%	81%	83%	82%	83%	82%
	Agent Avg. Response Time(Sec)	Sec	30	115%	29	25	27	25	27	27	24	27	26	26	28	26	26	21
	Agent Abandonment Rate	%	2%	265%	1%	1%	0%	0%	0%	1%	1%	1%	0%	1%	1%	1%	1%	3%
	Avg. Waiting Time in Queue (Min)	Min	5.0	137%	2	1	1	1	3	12	1	1	4	3	5	4	8	12
Cost	Agent Productivity (L1)	%	14	103%	15	14	11	14	15	15	13	14	14	14	15	14	16	15
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	111%	-	-	12%	10%	11%	10%	9%	-	10%	10%	9%	10%	9%	8%
UX	Chatbot CSAT	%	30%	66%	-	-	16%	22%	21%	18%	15%	-	19%	21%	18%	20%	18%	21%
	Chatbot Deflection Rate[Chatbot+FAQ]	%	65%	87%	-	-	59%	57%	57%	56%	55%	-	57%	56%	57%	56%	57%	48%

Highlights

1. **Shop CR/CSAT** no improvement due to old chatbot; **next to focus on roll out new chatbot after agent migration to PH, ETA end-Sep**
   - Plan to roll out new chatbot after agent migration, as more agent HC needed to compensate lower DR of new bot
2. **Agent performance:** All agent metrics met target with RR 102% to 147%

5. [MY] SIP-MY CS performance: Lower agent conversion rate in the past 2 weeks. Next step is to 1) implement upselling SOP for MY, AND 2) focus new chatbot rollout to improve Shop CSAT & shop conversion by Oct

MY			Aug MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	19 Aug	18 Aug	17 Aug	16 Aug	15 Aug	14 Aug	13 Aug	18 Aug	11 Aug	04 Aug	28 Jul	Aug	Jul	Jun
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	16,792	15,444	14,720
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	-	Shop Data reply on Shopbot data													
UX	Shop CRR	%	97%	-														
	Shop CSAT	%	57%	-														
Agent performance																		
Revenue	Agent Coversion Rate	%	13%	98%	10%	12%	11%	10%	14%	11%	10% 2	11%	12%	14%	13%	13%	13%	\
UX	Agent CSAT	%	80%	107%	86%	83%	88%	85%	85%	86%	86%	84%	85%	87%	87%	86%	87%	88%
	Agent Avg. Response Time(Sec)	Sec	30	129%	30	25	21	23	22	27	23	27	24	22	2186%	23	23	31
	Agent Abandonment Rate	%	2%	205%	1%	1%	2%	1%	0%	1%	1%	1%	1%	1%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)	Min	5.0	58%	4	4	2	4	6	6	4 3	4	3	36	3	9	2	11
Cost	Agent Productivity (L1)	%	14	127%	17	18	18	18	18	18	17	18	18	18	17	18	17	16
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	-	Data issue pending fix													
UX	Chatbot CSAT	%	45%	-														
	Chatbot Deflection Rate[Chatbot+FAQ]	%	65%	-														

Highlights

1. **Shop performance data missing** due to chatbot database issue; pending RBX fix the database issue to recover MY chatbot performance; **next to focus on 1) roll out new chatbot alongside agent migration to PH ETA Oct; 2) start agent upsell to improve CR ETA Sep**

2 **Agent conversion rate**: Performance drop in recent 2 weeks; WIP to implement training material upselling/cross-selling/substitute selling for MY agents

3 **Avg waiting time**: MTD miss target is due to volume spike of 8.8; performance has been recovered in L2W; to enhance peak-duty shifts and adjust plans based on real-time chat volume for future campaign

5. [PH] SIP-PH CS performance & SIP key focus: SIP next 3 months focus on 1) accelerate agent migration to PH; 2) roll out new chatbot; 3) improve agent conversion, to improve shop CSAT and shop CR

PH			Aug MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	19 Aug	18 Aug	17 Aug	16 Aug	15 Aug	14 Aug	13 Aug	18 Aug	11 Aug	04 Aug	28 Jul	Aug	Jul	Jun
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	19,656	17,951	17,617
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	85%	-	-	8%	8%	10%	9%	9%	-	9%	9%	9%	9%	9%	10%
UX	Shop CRR	%	97%	100%	-	-	99%	98%	99%	98%	98%	-	97%	99%	99%	98%	99%	99%
	Shop CSAT	%	48%	100%	-	-	64%	59%	45%	50%	51%	-	49%	48%	46%	48%	45%	53%
Agent performance																		
Revenue	Agent Coversion Rate	%	13%	97%	9%	14%	9%	11%	18%	14%	12%	11%	12%	14%	12%	13%	12%	6%
UX	Agent CSAT	%	80%	104%	81%	82%	85%	87%	83%	84%	85%	82%	84%	83%	82%	83%	84%	82%
	Agent Avg. Response Time(Sec)	Sec	30	187%	14	16	8	13	17	20	18	15	16	16	18	16	18	51
	Agent Abandonment Rate	%	2%	192%	2%	1%	0%	0%	1%	1%	0%	1%	1%	1%	1%	1%	2%	1%
	Avg. Waiting Time in Queue (Min)	Min	5.0	61%	8	9	51	17	3	1	2	9	12	5	3	8	3	10
Cost	Agent Productivity (L1)	%	14	151%	22	20	23	22	20	21	21	21	21	22	18	21	19	19
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	98%	-	-	7%	8%	8%	9%	9%	-	8%	9%	8%	9%	9%	8%
UX	Chatbot CSAT	%	30%	61%	-	-	28%	38%	28%	33%	33%	-	31%	33%	33%	32%	31%	29%
	Chatbot Deflection Rate[Chatbot+FAQ]	%	65%	115%	-	-	65%	64%	65%	67%	64%	-	64%	65%	65%	65%	65%	59%

Highlights

1. **Shop CR/CSAT** no improvement due to old chatbot; New chatbot rollout start from Aug 18, target to improve CSAT to 60% from mid Sep
2. **Agent conversion rate**: Performance drop in recent 2 weeks; WIP to implement training material upselling/cross-selling/substitute selling for PH agents
3. **Avg waiting time**: MTD miss target is due to 1) Potential chats spike from new chatbot rollout; 2) high absenteeism rate in weekends and weekday heavy rain ; Actions: Strengthen supplier management to ensure proactive notifications and prepare backup solutions

Overall SIP CS focus (Aug onwards)

1. Improve shop CSAT and shop conversion as the most important CS metrics
2. Focus on 1) accelerate agent migration to PH; 2) roll out new chatbot; 3) improve agent conversion via upsell/cross-selling-substitute selling

[Back-up] Summary next steps: SIP CS focuses on improving overall shop CSAT and conversion through new chatbot rollout, with a target to raise CSAT by 8pp by Dec 25

SIP	Key Tasks	Priority	Biz impact	Status	ETA
IDSIP CS	Upsell/Cross-sell/Substitute-sell SOP creation & agent training	P0	To improve IDSIP agent conversion rate by 2%	WIP	28 Aug
IDSIP CS	Agent HC planning	P0	To support new chatbot rollout	WIP	28 Aug
SIP - PH	New chatbot rollout	P0	To improve overall Shop CSAT/Conversion	-	Aug-Sep
SIP - All	New SIP CS team set up for PH agents	P0	To support PH agent migration to PH	WIP	Aug-Sep
SIP -TW/TH	PH migration	P0		WIP	Aug-Sep
SIP - PH	Agent Conversion rate improvement	P1	To improve SIP-PH agent conversion rate by 2-3%	-	Aug-Sep
SIP - SG	PH migration + new chatbot rollout	P1	To improve shop CSAT by 8%	WIP	Sep
SIP - MY	Agent Conversion rate improvement	P1	To improve agent conversion rate by 2%	-	Sep
IDSIP CS	New chatbot rollout	P1	To improve shop CSAT by 8%	-	Sep-Oct
SIP - MY	PH migration + new chatbot rollout	P1	To improve overall shop performance	-	Oct

2. Fraud update

2025 SIP Fraud Case Recap: SIP average daily fraud loss reduced from 0.54% to 0.018% (vs CNCB performance 0.02%) through loophole fixes, escrow extension, and ops BAU Implementation

Recap SIP fraud cases

- 2025 YTD: **SIP average daily fraud loss (0.54%) higher than CNCB target (0.033%)**, with **99% of losses from Apr COD fraud ($2.2M GMV, 29% clawed back)**
- L2M: **SIP average daily fraud loss (0.018%), better than CNCB performance (0.02%)**
- SIP fraud mainly stems from its unique business model: **1) 2-order system price sync gap between 2 orders; 2) escrow time design; 3) SIP bearing overseas COD fail/cancellation/RR cost**
- We have closed loop holes and monitor closely with 1) system/ops fix; 2) biz security anti-fraud model monitoring; 3) additional management based on seller type

Category	Fraud type	Fraud logic	Occurrence	Latest fraud status	Total Fraud loss	System/ops fix
2-order system price sync gap	**Holiday mode loophole**	Sellers exploited the HM loophole to manipulate price/weight for higher settlement	2024	No fraud cases found	No historical record	SIP requested to fix the holiday mode loophole by Oct 2024
2-order system price sync gap	**COD verification window time**	Sellers exploited the COD window to inflate settlement prices	2024	No fraud cases found	No historical record	SIP requested to shorten COD verification window from 10 mins to 10 seconds on Nov 2024
escrow time design	**COD fail**	SIP order fail delivery, but seller received money based on P order completed	Apr 2025	No fraud seller found in past 10 days；6 sellers identified in past 1 month	343 sellers, 83K orders, 2.2M USD GMV (29% clawed back)	From July, Launch escrow extension feature to ensure no fraud before escrow paid
SIP bearing overseas COD fail/cancellation/RR cost	**Cancellation fraud**	Buyer instantly cancels SIP order before shipment, but seller arranges during cancellation sync period that caused P order delivered with escrow released to seller	Jul 2025	No fraud seller found in past 9 days	56 sellers, 119 orders, 32K USD GMV (71% clawed back)	Improve cancellation logic to block seller arrange shipment if buyer cancel as P0 request, pending ETA given by PM
2-order system price sync gap	**Order high price gap**	During promotions, SIP SKUs have locked prices that don't match sellers' local price increases, which would cause SIP losses when escrowing at the new prices	Aug 2025	Resolved, <5K loss	1 sellers, 9 orders, 101K USD GMV (<5k loss)	On 15th Aug, dev hotfix already deployed

Continuous fraud detection and monitoring: An end-to-end process for early anomaly detection, in-depth fraud analysis, and swift case resolution — applied across both SIP and direct businesses.

Highlight:

- **Early anomaly detection** through daily monitoring of business loss and potential fraud signals.
- **Centralized fraud detection model** for device/account tagging, linkage analysis, and abnormal behavior identification.
- **Swift case resolution** via local reviews, account freezes, and fund clawbacks to minimize losses.

Key steps	Key strategy
Timely detection of anomalies	**Daily monitoring Dashboard** on • **Ops metrics fluctuations that could lead to business loss** (both SIP and Direct) • **Potential fraud behavior: RR, COD fail, cancellation**
Fraud analysis and strategy formulation	**Fraud analysis with a centralized detection model. Key strategies include:** • **Device and account fraud tagging** • **Buyer–seller and buyer–buyer linkage analysis** • Detection of fraudulent and abnormal behaviors
Case review and resolution	**Centralized portal for biz security team, reg SIP team, local fraud/biz team to collaborate on fraud confirmation** • Conduct local fraud reviews Freeze accounts and initiate fund clawbacks to prevent/reduce the loss • Learnings fed back into the centralized model for stronger prevention

Seller segment management: Additional control on selle segment level with robust KYC, risk-based screening, and continuous monitoring to filter out high-risk sellers

Key Prevention Strategy

1. **Robust KYC**: Currently, all local sellers undergo mandatory verification — either as (1) individuals with ID submission or (2) companies with business registration number **Propose to prevent account trading through re-verification and abnormal behavior monitoring**
2. **Seller risk screening**: Collaborate with business security and regulatory anti-fraud teams to ensure only legitimate sellers are onboarded
3. **Continuous monitoring**:
   a. Partner with business security to continuously enhance fraud detection models.
   b. Conduct daily screening and checks on suspicious seller behaviors.
   c. Regular clean up on the non-performing shops

Seller segment	Seller Risk assessment	Fraud KPI	Core PIC	Key prevention strategy
New sellers	**[Med-high risk]** ● All KYCed ● Lack of SIP performance to prove the liability	Fraud loss < 0.005%	Biz security	● Limited biz model/shop operation: disable COD until pass the biz security **high risk seller checking**
Existing: Top sellers	**[Low risk]** ● All KYCed, most are registered with biz license ● Top sellers are managed/Mall	No fraud	Local	● Local managed seller/Mall sellers are pass local checking
Existing: Long tail sellers	**[High risk]** ● All KYCed ● Seller account trading to fraud	Fraud loss < 0.015%	Biz security &Local	● SIP fraud detection model to daily screen and check the suspicious behavior ● Regular Non-performing shop clean up ● Preventing account trading through re-verification and abnormal behavior monitoring.

3. CNSIP revamp progress update

CNSIP Performance Aug MTD: +6.5k ADO (+29% vs May) since CNSIP revamp started in end-May, mainly contributed by 1) +31M new SKUs (+26M from migration initiatives); 2) price reduction

Metrics breakdown	Detail		May	Jun	Jul	Aug (Proj.)	L3M Growth	L3M Grow %
SKUs	# live SKUs	1	**25,248,849**	**36,798,829**	**42,535,043**	**56,222,490**	▲ 30,973,641	**▲ 123%**
Topline	ADO	2	**22,788**	**23,502**	**24,874**	**29,294**	▲ 6,506	**▲ 29%**
	... New SKUs organic growth		0	334	1425	2,791	▲ 2,791	-
	... New SKUs with ads push		0	0	956	1,435	▲ 1,435	-
	… Price reduction		4,609	5,513	6436	6,777	▲ 2,168	**▲ 47%**
	… Organic growth with platform		17,614	17,071	16,414	19,404	▲ 1,790	**▲ 10%**
	… [-] Budget reduction (mgt fee removal, OPEX fluctuation)		0	-297	-205	-909	▼ -909	-
	… [-] BAU shop return to direct		-211	-202	-152	-204	▲ 07	**▼ -3%**
	ADG ($)		**$191,613**	**$194,311**	**$217,701**	**$243,140**	▲ 51,527	**▲ 27%**
	ABS ($)		**$8.40**	**$8.30**	**$8.80**	**$8.30**	▼ -0.10	**▼ -1%**
PC2 ($/daily)	Combined PC2		**$18,617**	**$7,916**	**$7,694**	**$11,855**	▼ -6,762	-
	… Seller PC2	3	**$637**	**-$6,699**	**-$9,297**	**-$6,018**	▼ -6,655	
	… MP PC2		$4,990	$749	$1,274	$1,064	▼ -3,926	
	… SLS PC2		$12,989	$13,866	$15,427	$16,808	▲ 3,819	
PC2 % GMV	Combined PC2		13.90%	6.10%	1.20%	3.30%	▼ 10.6%	
	… Seller PC2		0.30%	-5.10%	-4.60%	-4.10%	▼ 4.4%	
	… MP PC2		3.70%	0.60%	-0.90%	0.70%	▼ 3.0%	
	… SLS PC2		9.70%	10.60%	6.70%	6.70%	▼ -3.0%	

Highlights: progress as compared to May,

1. **+31M new SKUs (+123%)**, by 1) enhancing pitching/repitching; 2) improving migration efficiency
2. **+6.5k ADO (+29%)**, mainly drive by 1) +4.2k ADO from new SKUs organic + ads growth; 2) +2.2k ADO from price reduction
3. -$6.6k daily seller PC2, including 1) ~$6k to counter management fee removal; 2) ~$1k OPEX fluctuations; **seller PC2 improved in Aug vs Jul as we started to reduce the reinvestment; next step remove reinvestment and back to OKR target of breakeven from Sep onwards**

Next steps: 1) +50M more SKU in Sep, 2) Ads optimization to improve new SKU ads orders, 3) Price bidding for CSPU, 4) use price elasticity tool to adjust price up to generate more budget without hurting topline

New SKU performance Aug MTD: +26M SKUs from newly acquired sellers from Jun-Aug contributed 3.9K ADO (109%RR)

	*Aug MTD **Total** Performance (SKUs from newly acquired sellers from Jun to Aug MTD)*								
	MTD Actual			MTD Target			RR		
Market	Live SKU#	ADO	SKU Effi.	Live SKU#	ADO	SKU Effi.	SKU#	ADO	SKU Effi.
SG	2.28 M	420	0.018%	2.18 M	409	0.019%	105%	103%	98%
MY	1.16 M	244	0.021%	1.00 M	286	0.029%	115%	85%	74%
TH	1.49 M	430	0.029%	1.28 M	684	0.054%	117%	63%	54%
PH	1.96 M	456	0.023%	1.65 M	933	0.057%	119%	49%	41%
VN	2.54 M	1,547	2 0.061%	2.87 M	764	0.027%	89%	203%	228%
TW	2.37 M	473	0.020%	3.13 M	315	0.010%	76%	150%	198%
MX	4.44 M	52	0.001%	4.84 M	38	0.001%	92%	139%	152%
CO	5.10 M	87	0.002%	4.70 M	41	0.001%	109%	215%	198%
CL	5.00 M	92	0.002%	4.75 M	78	0.002%	105%	117%	111%
Total	**26.35 M**	**3,864**	**0.015%**	**26.38 M**	**3,547**	**0.013%**	1 **100%**	**109%**	**109%**

Highlights

1 SKU #, ADO and SKU efficiency on par with targets

2 VN new SKU efficiency much better than other lanes, driven by top H&L and F&A shops with competitive pricing attracts high ADO in VN

- MY/TH/PH market performance lower than projected, as we shifted marketing budget to VN to achieve higher ROI overall

Key growth levers: On track to +33k ADO by Dec-25 vs May-25, via 1) more SKUs; 2) cheaper price; 3) better marketing

Focus	Incr. impact (Dec vs Jun)	#	On-going initiative	Progress	Next steps and ETA
More SKUs	+107M SKUs **+20K ADO**	**1a**	**Improve seller pitching and education** **Deep-dive**	• Removed 10% management fee in May 25 • Enhanced seller pitching and education materials with CNCB SMT • Repitched previously-rejected sellers	• Provide RM training • Get RM support to push top sellers • Enhance seller awareness via livestream training
		1b	**Improve SKU migration efficiency**	• Conducted system and ops fix to improve SKU migration efficiency • Revived non-performing SKUs post price reduction	• Fix system issue and ops limitations • Deep-dive SKU gap with unknown reasons
		1c	**Widen onboarding criteria**	• Migrated SKUs for GPs with Direct shops but not self-listedP	• Start to sell by 25 Aug
Cheaper price	**+10K ADO**	**2a**	**Reduce marketing markup**	• Reduced ads marketup to 5% from 13%	• Use price elasticity tool to generate more marketing budget without hurting topline
		2b	**Reduce settlement price**	• Comms to sellers to remove legacy seller markup to CNSIP price; price reduction ETA: end-Jul for top 400 sellers; end-Aug for all sellers	• CSPU bidding from sellers
Better marketing	**+3K ADO**	**3a**	**New SKU ads ramp up** **Deep-dive**	• Widened ads coverage of new SKUs	• Propose new SKU incubation plan with any additional resource from import markets
		3b	**Ads efficiency improvement**	• Improve Ads CPO/ROI	• Short term: Focus ads on key categories ETA End - Aug • Long term: Machine learning model for ads SKU selection ETA Oct

1a. Seller acquisition: 40k GPs / 227M SKUs acquired in Jul-Aug. SKU acceptance rate increased to 74% (106% RR), mainly driven by 1) enhancing RM/seller training; 2) addressing seller settlement pain points

CNSIP seller pitching results May-Aug

Seller type	Pitched		Accepted		Acceptance rate	
	GP#	SKU#	GP#	SKU#	GP#	SKU#
Total [1]+[2]+[3]	**78,254**	**394,194,839**	**51,271**	**246,073,118**	**66%**	**62%[1]**
[1] New sellers	**61,986**	**318,522,719**	**245,896**	**226,639,341**	**74%**	**71%**
… May pitching batch	4,326	14,642,255	3,301	7,405,920	76%	51%
… Jun pitching batch	6,851	11,340,662	5,147	3,072,100	75%	27%
… Jul pitching batch	25,166	48,818,258	1 16,067	36,056,565	64%	74%
… Aug pitching batch	25,643	243,721,544	21,381	180,104,756	2 83%	74%
[2] Previously rejected sellers	**13,585**	**67,614,377**	**5,207**	**18,922,990**	**38%**	**28%**
… May pitching batch	4,267	24,941,750	1,716	5,976,441	39%	24%
… Jun pitching batch	3,561	14,960,491	1,132	2,217,628	32%	15%
… Jul pitching batch	5,757	27,712,136	1 2,359	10,728,921	41%	39%
[3] Previously opt out sellers (Jul)	**2,683**	**8,057,743**	**168**	**510,787**	**6%**	**6%**

Highlights

1. **40k GPs / 227M SKUs acquired in Jul & Aug batch:** 216M SKUs from new sellers, including 168M group A SKU (cross-migration of SKUs not self-listed by Direct shops). 11M SKU from previously rejected/opt-out sellers
2. **Aug batch vs May batch, seller acceptance +7%, SKU acceptance rate +23%,** driven by livestream training to sellers, RM/CS training, SEH article revamp, and WeCom relaunch to engage seller directly

- **Next-steps further improve SKU acquisition in Sep-Dec**
  - Repitch top target sellers via CNCB RMs (400 GGP in Aug; 200 GGP each in Sep & Oct)
  - Resolve settlement price issues / concerns to boost seller confidence
  - Continue to engage sellers via WeCom

[Backup] Enhance seller and RM training: Various training / sharing through multiple channels

A. Revamp SEH articles	B. Livestream training to sellers	C. Internal offline training to RMs	D. Re-open WeCom channel for seller education/notifications
Restructured SIP education articles from 9 → 12 with clear themes and standardized titles	Included 4 training modules 1. SIP value proposition 2. Settlement price calculation 3. Latest policy & opportunities 4. Seller FAQ Video records posted on SEH to reach wider seller group	Included 4 training models 1. SIP biz model 2. How SIP benefit seller and Shopee 3. Latest policy & product revamp 4. Seller/RM FAQ Archive in E-learning library to reach wider RM group	Restarted SIP 微信服务号, broadcasted 1. SIP training/introduction 2. New policy/product sharing 3. Targeted seller notification

Next steps to continue improving seller education

- Leverage SIP 微信服务号 for more frequent / small pieces seller engagement and education
- Customize notification / education based on use cases, e.g., new onboarding guidelines, rejected seller detention, etc.
- Proactive support new seller ramp up, improve new seller retention rate

[Backup] Address seller settlement price pain points: 41% sellers rejected CNSIP because “担心亏损” identified 6 system pricing issues; pushing solution via system improvement and seller education

Issue type	#	Type of issue	Possible price gap	Solution	Progress
Seller	1	Product weight: Seller inputs wrong product weight in the system, correspondingly settlement price is calculated wrongly based on seller inputted weight	0-80%	Short-term: seller education and correction Long-term: system improvement to overwrite seller input weight with SLS warehouse actual data	In progress: detail out biz requirement and seek legal clearance
System	2	SIP listing price: seller does not understand how listing price is calculated and worry listing price is too low	/	System improvement to display A shop listing, price and detail order information in seller center	In progress: PRD
	3	Model level pricing: hidden fee calculate based on item level instead of model level, leading to potential model level loss	0-80%	Requested product change to calculate price at model level.	In progress: FRF
	4	FX rate: Outdated FX rate in settlement price calculation as the rate table auto-refresh did not happen due to system bug	0-10%	Fix product bug, refresh FX rate table monthly	Fixed
	5	Transaction fee: hardcoded in the system does not follow latest policy	0.2%-8%	Update formula with latest transaction fee	In progress: FRF
	6	FSS/CCB service rate: hard coded in the system following highest rate tier, ignoring seller opt-out of FSS/CCB	2%-7%	TW & BR will merge FSS/CCB service fee into commission in Q3.	Pending: platform policy change

Highlights

- **For sellers who rejected or opt out SIP, 41% sellers (top reason) are worried about losing money** or heard from other sellers’ complaint on low price
- **Deep-dived into settlement price issues**, through seller interviews and assessed bad cases
- **Identified 6 root-causes, in progress of addressing them with seller education and system solution**
  - Product design related: requested product upgrade, escalated these requests into key projects
  - Seller errors: Educate and guide sellers to manage product weight information in P shop

3. New SKU incubation - next-steps: we expected to ramp up SKU count from Aug to Sep (+76mil) from widening onboarding criteria to cross-migrate SKUs not listed in seller's direct shops

CNSIP SKU migration improvement and topline impact by import market

Import market	CNSIP SKU Monthly Growth Projection							Growth	
	Jun-25	July-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	SKU # (mil)	ADO**
SG	0.9	1.4	1.2	4.4	3.3	0.2	0.2	+11.6	+3,289
MY	0.4	0.7	1.1	4.4	3.3	0.1	0.1	+10.1	+3,987
TH	0.7	0.8	2.2	4.0	3.0	0.1	0.1	+10.9	+4,830
PH	0.8	1.2	2.3	3.6	2.7	0.2	0.2	+11	+3,371
VN	0.6	1.9	2.4	3.2	2.4	0.1	0.1	+10.7	+2,931
TW	0.7	1.6	2.5	3.6	2.7	0.1	0.1	+11.3	+2,145
BR	0.0	0.0	0	0.0	0.0	0.0	0.0	+0	+0
MX	1.7	2.7	3.4	2.8	2.1	0.4	0.4	+13.5	+85
CO	1.9	3.2	3.8	2.4	1.8	0.4	0.4	+13.9	+77
CL	1.9	2.9	3.8	2.4	1.8	0.4	0.4	+13.6	+76
Total new SKUs added per month	**9.6**	**16.4**	**22.7**	**30.8**	**23.1**	**2.0**	**2.0**	**106.6**	**+20,791**

* BR SKU growth is based on assumption of projected SKU count for Q3-25 and Q4-25 capped at 0.2M (due to strict CB SKU % control in BR)
** ADO uplift considers only organic ADO growth without marketing support

Highlights

- Plan to improve SKU migration systematically since Q3-25, increase SKU supply by 106.6 mil by Q4-25 by completing [A] migrate SKUs not self-listed for GPs with Direct shops; [B] fix CNSIP migration system/ops issue; [C] re-pitch GPs previously opted-out CNSIP
  - Jun-Jul: +26mil SKUs, mainly driven by [C] and new eligible sellers
  - Aug: +23mil SKUs, mainly driven by 7mil from [A], 6mil from [C], 8mil from system fix
  - Sep-Oct: +53mil SKUs, mainly driven by remaining 53mil from [A]
  - Nov-Dec: +6mil SKUs, mainly driven by new eligible sellers (BAU growth)
- Organic ADO uplift potential of 20.8K (excluding SKUs boosted by marketing initiatives)

CNSIP projection: Grow ADO to 56.4k by Dec-25 (2.5x vs May, CB penetration +0.7pp), and PC2 to $1.1M monthly (+$0.5M vs May)

		Actual			Projection					Dec-25 vs May-25
		May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	
New SKU #	New SKU migrated monthly	0	9.6M	16.4M	22.7M	30.8M	23.1M	2.0M	2.0M	108.8M
ADO	0) Baseline (organic growth with platform)	16,818	16,754	16,910	19,200	18,064	18,289	19,917	20,096	+19%
	1a) More SKUs organic growth	0	334	1,204	2,791	8,809	18,528	22,995	23,341	-
	1b) More SKU ads growth	1370	1,400	1,161	1,435	2,364	4,336	4,820	4,642	+239%
	2a) COGS reduction	0	0	0	0	300	600	800	1,000	-
	2b) Marketing markup reduction	4,801	5,513	6,243	6,777	7,338	8,057	8,669	9,193	+91%
	3) Marketing tool optimization	-201	-297	0	0	326	572	830	1,101	-
	[-] Budget cut from mgmt fee removal/ OPEX fluctuations	0	-202	-644	-909	-2,928	-2,928	-2,928	-2,928	-
	CNSIP ADO	22,788	23,502	24,874	29,294	34,272	47,454	55,102	56,445	+148%
	CNSIP ADO as % CB	0.77%	0.75%	0.81%	0.97%	1.15%	1.43%	1.51%	1.46%	+0.7pp
ADG ($)	**ABS - Total CNSIP**	8.4	8.1	8.6	8.3	8.1	8.1	8.1	8.1	-
	ADG - Total CNSIP	191,419	190,366	213,687	243,140	277,604	384,374	446,327	457,203	+139%
PC2 ($)	**CNSIP Seller PC2**	$19,752	-$200,977	-$200,196	-$186,549	$0	$0	$0	$0	-
	CNSIP A MP PC2	$154,704	$22,479	*-$39,502	$32,986	$17,402	$24,686	$28,862	$28,985	-
	CNSIP SLS	$402,664	$415,985	$478,226	$521,054	$637,461	$912,058	$1,024,900	$1,084,869	-
	CNSIP Combined PC2 $	$577,120	$237,487	$238,528	$367,491	$654,863	$936,744	$1,053,762	$1,113,854	$536,734
PC2 (% GMV)	**CNSIP Seller PC2 %**	0.5%	-5.1%	-4.6%	-4.1%	0.0%	0.0%	0.0%	0.0%	-
	CNSIP A MP PC2 %	3.7%	0.6%	-0.9%	0.7%	0.3%	0.3%	0.3%	0.3%	-
	CNSIP SLS	9.7%	10.6%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	-
	CNSIP Combined PC2 %	13.9%	6.1%	1.2%	3.3%	7.0%	7.0%	7.0%	7.0%	-6.9pp

** July A MP PC2 went negative mainly because PRM ramped up since mid Jun and across entire Jul to all sellers (not CNSIP specific)*

Highlights

Topline Key growth drivers

- **New SKU** is expected to generate ~28K ADO by Dec 25 (23K from organic growth, 4.6K from ads push)
- **Price reduction** will generate 10.1K ADO by Dec 25 (1K from SIP COGS reduction, 9.1K from SIP markup reduction)
- **Marketing optimization** will generate 1K ADO growth with better SKU selection for traffic push (Ads, AMS, video)

PnL

- **Absolute combined PC2** will increase by 0.5M from May 25 to Dec 25.
- **Combine PC2%** will drop by -6.9p.p mainly because platform overall PRM increase and CNSIP management fee removal

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4. Regional Direct Selling roll-out

Overview (launched lanes): Expect QoQ topline growth from both SIP and Direct Selling; Direct grow to 23k by Dec-25 MYSG/VNMY/IDMY combined

	Actual							MTD	Proj				Growth	
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Sep vs Jun	Dec vs Sep
MYSG	**29,751**	**28,200**	**30,987**	**29,916**	**33,072**	**33,988**	**35,258**	**38,409**	**37,767**	**38,507**	**44,074**	**44,457**	**11%**	**18%**
...SIP	23,467	21,445	23,462	22,319	25,718	26,099	26,361	27,927	27,372	26,926	29,629	28,298	5%	3%
... Direct	6,285	6,755	7,525	7,596	7,354	7,889	8,897	10,483	10,395	11,581	14,445	16,159	32%	55%
VNMY	**7,697**	**6,521**	**8,912**	**8,320**	**10,423**	**10,361**	**10,907**	**10,706**	**11,175**	**11,984**	**12,694**	**12,727**	**8%**	**14%**
...SIP	7,697	6,521	8,912	8,320	10,423	10,361	10,874	10,581	10,866	11,352	11,739	11,310	5%	4%
... Direct						1	33	125	309	632	955	1,417	30800%	359%
IDMY	**41,112**	**41,944**	**55,896**	**35,501**	**37,412**	**44,087**	**43,968**	**46,718**	**47,008**	**50,842**	**54,294**	**56,576**	**7%**	**20%**
...SIP	41,112	41,944	55,896	35,501	37,412	44,087	43,965	46,674	46,536	49,515	51,357	50,931	6%	9%
... Direct						0	3	44	472	1,327	2,937	5,645	-	1096%

Highlights

- Expect topline growth from both SIP and Direct for launched lanes towards Dec-25
- **Sellers are allowed to keep both SIP and Direct shops at the same time** to reduce topline dip from SIP-return-to-Direct; to monitor cannibalization for the dual-shop model

Performance: Aug MTD 11k ADO, +19% MoM; $140k ADG, +22% MoM; 11k active sellers, +74% MoM; 1M live SKUs, +76% MoM; expect VNMY/IDMY topline and MYSG seller/SKU count catch-up by EOM

Direct selling lane	ADO				ADG				ABS			
	MTD	RR	MoM	As % SIP	MTD	RR	MoM	As % SIP	MTD	RR	MoM	As % SIP
Total	**10,652**	**96%**	**19%**	**13%**	**$139,713**	**96%**	**22%**	**17%**	**$13.10**	**99%**	**2%**	**136%**
... MYSG	10,483	97%	18%	38%	$136,525	96%	20%	42%	$13.00	99%	2%	111%
... VNMY	125	79%	280%	1%	$2,345	114%	277%	2%	$18.80	145%	-1%	205%
... IDMY	44	49%	1186%	0%	$842	73%	737%	0%	$19.00	150%	-35%	225%

Direct selling lane	# active sellers				# live SKUs				SKU effi			
	MTD	RR	MoM	As % SIP	MTD	RR	MoM	As % SIP	MTD	RR	MoM	As % SIP
Total	**10,952**	**104%**	**74%**	**3%**	**1,025,090**	**116%**	**76%**	**6%**	**1.04%**	**0.00pp**	**-0.50pp**	**227%**
... MYSG	6,206	85%	8%	7%	574,897	95%	8%	24%	1.82%	0.00pp	0.15pp	157%
... VNMY	2,279	149%	397%	2%	191,232	163%	362%	5%	0.07%	0.00pp	-0.01pp	25%
... IDMY	2,467	152%	2946%	1%	258,961	163%	2939%	2%	0.02%	0.00pp	-0.02pp	4%

Direct selling lane	Combined PC2 (Daily, USD) [a]+[b]				MP PC2 (Daily, USD) [a]				SLS PC2 (Daily, USD) [b]			
	MTD	RR	MoM	As% SIP	MTD	RR	MoM	As% SIP	MTD	RR	MoM	As% SIP
Total	**$2,146**	**/**	**$4,203**	**/**	**$2,103**	**/**	**$2,159**	**/**	**$42**	**/**	**$2,044**	**/**
... MYSG	$2,149	/	$4,245	/	$2,131	/	$2,215	/	$18	/	$2,030	/
... VNMY	-$18	/	-$57	/	-$39	/	-$68	/	$20	/	$11	/
... IDMY	$15	/	$15	/	$11	/	$12	/	$4	/	$4	/

Highlights

- Overall ADO/ADG/seller/SKU grow across all 3 lanes MoM; in progress of ramping up mass pitching towards EOM, post system blockers cleared for onboarding
  - **MYSG:** MTD ADO/ADG 97%/96% RR, seller/SKU 85%/95% RR; expect seller/SKU hitting target by EOM by completing pitching to all mass pitching target pool sellers
  - **VNMY**: MTD ADO/ADG 79%/114% RR, seller/SKU 149%/163% RR; ADO started to ramp up post seller count +1323 last week; L7D ADO 170 (110% RR)
  - **IDMY**: MTD ADO/ADG 49%/73% RR, seller/SKU 152%/163% RR; ADO started to ramp up post seller count + 2338 last week; L7D ADO 78 (86% RR)
- Focus on basic but effective ways to drive growth
  - **SKU**: 1) push 1:1 pitching for target pool; 2) monthly mass pitching via system pop-up
  - **SKU effi**: teach and push sellers to 1) lower price; 2) invest in ads

Acquisition: 693k (65% pitching pool) pitched for 1st round mostly via mass pitching; 12k accepted, 11k started selling; next step focus on RM support to accelerate and increase acceptance rate of 1:1 pitching

	# sellers				Conversion			MTD RR
	Target pitching pool	Pitched	Accepted	Active selling	% pitched / target pool	% accepted / pitched	% active / accepted	Active selling
Total [A] + [B]	**1,064,047**	**693,943**	**12,364**	**10,952**	**65%**	**2%**	**89%**	**104%**
... MYSG	287,565	169,282	6,706	6,206	59%	4%	93%	85%
... VNMY	289,916	107,404	2,947	2,279	37%	3%	77%	149%
... IDMY	486,566	417,257	2,711	2,467	86%	1%	91%	152%
(1) RM 1:1 pitching [A]	**30,502**	**15,964**	**6,226**	**5,693**	**52%**	**39%**	**91%**	**94%**
... MYSG	13,143	12,376	5,631	5,289	94%	45%	94%	95%
... VNMY	11,764	1,080	252	175	1 9%	2 23%	3 69%	68%
... IDMY	5,595	2,508	343	230	45%	14%	67%	90%
(2) Mass pitching [B]	**1,033,545**	**677,979**	**6,202**	**5,259**	**66%**	**1%**	**85%**	**114%**
... MYSG	274,422	156,906	1,075	917	57%	1%	85%	57%
... VNMY	278,152	106,324	2,695	2,104	38%	3%	78%	165%
... IDMY	480,971	414,749	2,432	2,237	86%	1%	92%	164%

Highlights

1. 52% RM pitching pool pitched via 1:1 RM contact; 66% mass pitching pool pitched via system pop-up; target to complete 1st round of pitching to all sellers via mass way by end-Aug
   - 1 **1:1 RM pitching**: progress limited by 1) local RM capacity, currently ~1.2k-1.4k sellers per months in 3 markets; 2) local export SMT capacity constraints to juggle between pitching push and supporting accepted sellers to onboard/problem solve/build success case; VN to accelerate RM pitching and complete 1st round by Dec; ID to continue current pace and complete 1st round by Oct
   - **Mass pitching**: no blockers to scale up after system features ready by end-Aug; to mass pitch to all target sellers on monthly basis
2. For RM pitching pool
   - 2 **ID/VN 14-23% success rate, lower than 30% target**; next steps to 1) repitch to sellers who are non-responsive / rejected because lack of understanding to direct model; 2) build success cases to support pitching; 3) select "most wanted" sellers together with destination market to offer additional incentives
   - 3 **ID/VN 67-69% accepted sellers started to sell**, others still in progress of confirming price; to monitor and reach out to top sellers if seller inaction for >1 week

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[Backup] Acquisition funnel: For MYSG/VNMY/IDMY, target pitching pool covers 9% local sellers, 53% local SKUs, 87% local ADO coverage; MTD 2% ADO coverage migrated; target 20% ADO coverage for each market

	# sellers					% export market seller coverage					% export market SKU coverage					% export market ADO coverage				
	Target pitching pool	Pitched	Accepted	Shop opened	Active selling	Target pitching pool	Pitched	Accepted	Shop opened	Active selling	Target pitching pool	Pitched	Accepted	Shop opened	Active selling	Target pitching pool	Pitched	Accepted	Shop opened	Active selling
Total	**1,064,064**	**695,017**	**12,364**	**10,784**	**10,952**	**8.63%**	**5.64%**	**0.10%**	**0.09%**	**0.09%**	**52.90%**	**24.01%**	**0.39%**	**0.25%**	**0.15%**	**86.75%**	**48.26%**	**2.27%**	**1.96%**	**1.88%**
... MYSG	287,582	170,354	6,706	6,349	6,206	22.26%	13.18%	0.52%	0.49%	0.48%	96.00%	56.87%	2.24%	0.76%	0.65%	89.00%	68.55%	18.62%	17.59%	17.44%
... VNMY	289,916	107,404	2,947	2,967	2,279	13.01%	4.82%	0.13%	0.13%	0.10%	65.00%	27.11%	0.94%	0.90%	0.46%	95.00%	38.12%	2.41%	1.87%	1.58%
... IDMY	486,566	417,259	2,711	1,468	2,467	5.53%	4.74%	0.03%	0.02%	0.03%	46.00%	19.81%	0.09%	0.08%	0.04%	84.00%	49.27%	0.55%	0.38%	0.37%
(1) RM 1:1 pitching	**30,519**	**16,628**	**6,226**	**5,707**	**5,693**	**0.25%**	**0.13%**	**0.05%**	**0.05%**	**0.05%**	**4.88%**	**1.04%**	**0.18%**	**0.05%**	**0.04%**	**47.48%**	**8.13%**	**1.93%**	**1.62%**	**1.57%**
... MYSG	13,160	13,038	5,631	5,307	5,289	1.02%	1.01%	0.44%	0.41%	0.41%	10.35%	7.77%	1.72%	0.24%	0.21%	42.00%	41.61%	17.97%	16.94%	16.88%
... VNMY	11,764	1,080	252	247	175	0.53%	0.05%	0.01%	0.01%	0.01%	7.60%	0.59%	0.13%	0.10%	0.08%	51.90%	5.95%	1.64%	1.10%	0.90%
... IDMY	5,595	2,510	343	153	230	0.06%	0.03%	0.00%	0.00%	0.00%	3.80%	0.36%	0.02%	0.01%	0.01%	46.70%	5.36%	0.37%	0.21%	0.20%
(2) Mass pitching	**1,033,545**	**678,389**	**6,202**	**5,077**	**5,259**	**8.39%**	**5.51%**	**0.05%**	**0.04%**	**0.04%**	**48.02%**	**22.97%**	**0.21%**	**0.21%**	**0.19%**	**39.26%**	**40.13%**	**0.34%**	**0.34%**	**0.31%**
... MYSG	274,422	157,316	1,075	1,042	917	21.24%	12.18%	0.08%	0.08%	0.07%	85.65%	49.10%	0.52%	0.51%	0.45%	47.00%	26.94%	0.65%	0.65%	0.56%
... VNMY	278,152	106,324	2,695	2,720	2,104	12.49%	4.77%	0.12%	0.12%	0.09%	57.40%	26.52%	0.81%	0.81%	0.72%	43.10%	32.18%	0.77%	0.77%	0.68%
... IDMY	480,971	414,749	2,432	1,315	2,237	5.46%	4.71%	0.03%	0.01%	0.03%	42.20%	19.45%	0.07%	0.07%	0.07%	37.30%	43.91%	0.18%	0.18%	0.17%

Highlights

- Target pitching pool of 1M sellers across 3 lanes represent 9% of local sellers, 53% of local SKUs, and 87% of local ADO
- MTD active sellers represents 1.8% of local ADO, expect to grow to 5-10% by Dec-25, and 20% by Dec-26
  - Key assumptions: 35% ADO coverage success rate for 1:1 pitching; 3% ADO coverage success rate for mass pitching

[Backup] Local SMT structure & pitching approach: SIP SMT team in local markets leads the Direct selling pitching and seller support; they coordinate local RMs to pitch and support locally managed sellers

Export Market		ID	VN	TH	PH	SG	TW	MY	
								As-is	Planned
Local seller support for export (SIP + Direct)	Local business owner	IDBD	VNCB	THCB	PHCB	SGCB	TWCB	MYSG: SGBD MYPH/TH: MYCB	MYCB
	Local project PIC	1 IDSIP team	VNSIP team	THSIP team	PHSIP team	SGSIP team	TWSIP team	2 MYSG: SGBD MYPH/TH: MYCB	MYSIP team (to confirm)
	SMT headcount (including team lead)	5	5	4	2	2	3	MYSG: 3 MYPH/TH: 3.5	5 (to confirm)
	Team established	Existing	Existing	Newly built Jul-25	Newly built Jul-25	Newly built Jul-25	Existing	MYSG: existing MYPH/TH: newly built Aug-25	-
Seller pitching & support approach	Local managed sellers	3 Local RM 1:1	Local RM 1:1	Local RM 1:1	Local RM 1:1	Local RM 1:1	Local RM 1:1	MYSG: MYSG acquisition team 1:1 MYPH/TH: Local RM 1:1	Local RM 1:1
	Top SIP sellers	IDSIP SMT 1:1	VNSIP SMT 1:1	-	-	-	-	-	-
	Local CNLS sellers	CNLS RMs in each market, coordinated by reg CNLS team, target set by SIP team							
	Other non-managed sellers	Pitching: mass system pop-up monthly from Sep-25 onwards Seller support: local CS teams							

Direct pitching ownership

1. **SIP SMT teams** (under CB; ID under BD) coordinate pitching, seller initiatives, support, and CS escalation
2. **MYSG**: Historically run by SG BD (as MYSG sellers treated as local SG; no MY SIP team). Plan to transition pitching to MYSIP team

Challenges

3. Heavy reliance on local RMs for 1:1 pitching → progress limited by RM capacity
- Local RMs are new to direct selling with learning curve
- Direct selling push not part of local RM KPIs, low motivation

Next Steps

- Work with local BD/CB to design a motivation plan (e.g., counting direct selling/SIP topline towards local RM topline targets)
- Continue education and enablement for local RMs to accelerate pitching

[Backup] Reg/local team collaboration model: Reg SIP team (Direct selling PMO team) responsible for setting up infrastructure/commercial scope/pitching materials; local SMT team to execute acquisition and seller push

	Reg SIP team (Reg Direct selling PMO)	Local SIP SMT (Local Direct selling PMO)
Seller acquisition	• Define target seller list based on local ADO and SIP ADO • Negotiate and finalize incentive packages for seller acquisition with destination market • Set acquisition and ADO target based on seller segment and pitching approach • Align pitching plan with local SMT (approach, pace, tracking) • Provide training to local SMT on direct selling model • Draft regional version of pitching materials, SEH articles, seller comms messages, and other supporting materials • Provide pitching support to local SMT (RM/seller Q&A) • Monitor the pitching progress and help local SMT to prioritize resources (e.g., pitching first on onboarding first) and problem solve	• Localize the pitching materials, SEH articles, seller comms messages and publish on local SEH portal • Conduct local RM training and coordinate RM pitching • Book system resources (e.g. PN, SCA slots) to conduct mass pitching • Provide feedback on sellers to include/exclude from pitching and align with regional PMO
Seller growth	• Build SOP to execute incentive plans (e.g., top up free ads credits, issue co-share vouchers) • Nominate Direct sellers to local focused seller programs • Build offline tools to push SKU effi (offline pricing calculator, offline price recommendation, ads top up purchase local shop) while waiting for system feature to be ready • Provide data support on price competitiveness and marketing investment to help local SMT to prioritize seller push • Provide market insights on destination markets (e.g., ADO drivers, top-selling SKUs) to educate RM/sellers	• Notify seller for available incentives • Nominate sellers for selected mkt push • Manage ads credit shop + ads credit top-up
Seller operations	• Align operations policies between market pairs (e.g., listing limit, category definition, Mall status) • Support shop opening / SIP return shops • Arrange manual payment report / seller invoices while waiting for system solution • Coordinate with product, reg ops for SKU migration improvement • Investigate CS issues and provide regional guidance on solution across lanes	• Whitelist sellers to open direct shop • Coordinate between local CS and Reg PMO team
System/product coordination	• Coordinate with product teams for FRF drafting, testing, deployment, timeline control • Raise system improvement feature requests and prioritize pipeline with BPMs	• Localize system user guide • Feedback system bugs/issues

Seller segments: WoW ADO drop on MYSG due to post-campaign effect; VNMY/IDMY continues to ramp up ADO; seller /SKU count ramp up across all 3 lanes post one-button shop open function live from 14 Aug

	L7D				WoW			
	L7D ADO	# active sellers	# SKUs	SKU effi	L7D ADO	# active sellers	# SKUs	SKU effi
Total	**11,323**	**10,952**	**1,025,090**	**1.10%**	**-9%**	**43%**	**39%**	**-0.59%**
... Non-SIP	8,285	6,614	597,294	1.39%	-10%	36%	31%	-0.63%
... SIP non-performing	553	2,660	216,232	0.26%	-4%	81%	85%	-0.23%
... SIP performing	2,485	1,678	211,564	1.17%	-6%	26%	30%	-0.46%
(1) MYSG	**11,075**	**6,206**	**574,897**	**1.93%**	**-9%**	**2%**	**1%**	**-0.22%**
... Non-SIP	8,238	3,946	379,711	2.17%	-10%	0%	-1%	-0.21%
... SIP non-performing	476	990	50,214	0.95%	-5%	7%	12%	-0.17%
... SIP performing	2,361	1,270	144,972	1.63%	-7%	6%	4%	-0.19%
(2) VNMY	**170**	**2,279**	**191,232**	**0.09%**	**3%**	**58%**	**29%**	**-0.02%**
... Non-SIP	31	1,611	113,611	0.03%	59%	84%	66%	0.00%
... SIP non-performing	49	553	57,729	0.09%	-17%	19%	-6%	-0.01%
... SIP performing	90	115	19,892	0.45%	3%	14%	7%	-0.02%
(3) IDMY	**78**	**2,467**	**258,961**	**0.03%**	**67%**	**1662%**	**1339%**	**-0.23%**
... Non-SIP	15	1,057	103,972	0.01%	1186%	3815%	3477%	-0.03%
... SIP non-performing	28	1,117	108,289	0.03%	79%	1351%	924%	-0.12%
... SIP performing	35	293	46,700	0.07%	17%	714%	935%	-0.59%

Highlights

1. **L7D 11K ADO from 10k direct sellers, 8.8K incremental to lane from non-SIP/SIP-non-performing sellers**
   a. 8.2K ADO (73%) from sellers not previously on SIP
   b. 553 ADO (5%) from sellers previously on SIP, but their SIP shops are not ADO-generating
   c. 2.4K ADO (22%) from sellers previously on SIP and ADO-generating
2. New SIP+Direct co-exist feature to be implemented on 25 Aug for preventing further SIP ADO loss from converting to Direct

[Backup] Top shops: IDMY has more diversified assortments; while VNMY top shops are mostly fashion shops

Lane	Rank	Top shop				Top new direct/non-SIP shop				Top SIP non-performing shop returned shop			
		Shop ID	L7D ADO	Products	Shop link	Shop ID	L7D ADO	Products	Shop link	Shop ID	L7D ADO	Products	Shop link
IDMY	1	1063689288	54.0	Toy	Open	1612113231	7.0	Gardening	Open	1063689288	54.0	Toy	Open
	2	278352205	13.5	Casual wear	Open	1613025705	1.4	Motorcycle	Open	1483990309	1.7	Toy	Open
	3	1612113231	7.0	Gardening	Open	1613460810	1.0	Kids	Open	328830850	1.3	Comics	Open
	4	520382361	5.4	Religion	Open	1572956573	0.7	Men bag	Open	1181785401	1.0	Muslim fashion	Open
	5	682311283	4.1	Beauty	Open	1613024325	0.6	Toy	Open	457242784	0.7	Malay book	Open
	6	1361830633	2.5	Women fashion	Open	1614087962	0.5	Motorcycle	Open	1501615897	0.5	Phone case	Open
	7	1247738578	2.0	Toy	Open	1613358891	0.5	Accessories	Open	344631814	0.5	Shoes	Open
	8	1483990309	1.7	Toy	Open	1612748527	0.4	Motorcycle	Open	255527693	0.4	Men fashion	Open
	9	1613025705	1.4	Motorcycle	Open	1613177570	0.4	Accessories	Open	574253104	0.4	Women fashion	Open
	10	319136608	1.3	Comic	Open	1612371497	0.3	Accessories	Open	639600153	0.3	Women fashion	Open
VNMY	1	441483495	20.9	Women fashion	Open	1572314079	3.4	Men bag	Open	441479677	8.3	Men fashion	Open
	2	432429694	20.3	Kids fashion	Open	1599979566	1.9	Beauty	Open	1546812912	4.3	Pickleball	Open
	3	441479677	8.3	Men fashion	Open	1613128047	1.2	Women fashion	Open	779388389	3.1	Women fashion	Open
	4	451096492	6.1	Women shoes	Open	1571535621	1.0	Kids shoe	Open	437462588	2.1	Men fashion	Open
	5	441478815	5.3	Women shoes	Open	1578104508	0.7	Accessories	Open	594859711	1.7	Steel shelf	Open
	6	1546812912	4.3	Pickleball	Open	1614163589	0.7	Herbs	Open	478013526	1.4	Home deco	Open
	7	1572314079	3.4	Leather bag	Open	1612937354	0.6	Fishing	Open	586721298	1.1	Women fashion	Open
	8	451096491	3.3	Casual wear	Open	1610130412	0.5	Herbs	Open	432429342	1.0	Watches	Open
	9	779388389	3.1	Women fashion	Open	1598763296	0.5	Beauty	Open	951044752	0.9	Beauty	Open
	10	437462588	2.1	Men fashion	Open	1608978145	0.4	Household	Open	586727708	0.7	Men fashion	Open

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Upcoming launches: We plan to launch additional 4 lanes in end-Aug, 3 lanes in early Sep, rest of lanes contingent on logistics channel on the exact launch timeline

Export market	Overseas shop	Target Biz Start Date	Apr		May		Jun		Jul		Aug		Sep		Oct		Nov	
			Apr H1	Apr H2	May H1	May H2	Jun H1	Jun H2	Jul H1	Jul H2	Aug H1	Aug H2	Sep H1	Sep H2	Oct H1	Oct H2	Nov H1	Nov H2
MY	MYSG	Launched	GSC/log ready	Biz launch -1														
	MYPH	8/27									GSC/log ready	Biz launch - 4						
	MYTH	9/1									GSC/log ready		Biz launch - 8					
ID	IDMY	Launched					GSC ready	Biz launch - 3										
	IDPH	9/1									GSC/log ready		Biz launch - 9					
	IDSG	9/1									GSC/log ready		Biz launch - 10					
	IDTH	10/8												GSC/log ready	Biz launch - 13			
	IDTW	11/17														GSC/log ready	Biz launch - 19	
VN	VNMY	Launched					GSC ready	Biz launch -2										
	VNSG	8/27									GSC/log ready	Biz launch - 6						
	VNPH	8/27									GSC/log ready	Biz launch - 7						
	VNTH	10/27													GSC/log ready	Biz launch - 15		
	VNTW	11/17														GSC/log ready	Biz launch - 20	
TH	THPH	8/27									GSC/log ready	Biz launch - 5						
	THMY	10/27													GSC/log ready	Biz launch - 16		
	THSG	10/27													GSC/log ready	Biz launch - 17		
SG	SGMY	9/25											GSC/log ready	Biz launch - 11				
	SGTH	10/27													GSC/log ready	Biz launch - 18		
PH	PHMY	9/25											GSC/log ready	Biz launch - 12				
	PHSG	10/8												GSC/log ready	Biz launch - 14			
TW	TWMY	11/17														GSC/log ready	Biz launch - 21	
	TWSG	11/17														GSC/log ready	Biz launch - 22	

We are here

Highlights

- 7 lanes ready for Direct biz launch by end Aug/early Sep:
  - Start seller onboarding from 27th Aug and 1 Sep
  - Mass whitelist 1st batch sellers on GSC then proceed to pitching
- The other lanes pushed back to Oct~Nov biz launch timeline, mainly due to logistic channel development constraint

Upcoming launches: SMT and seller incentive resources are in place; on-track to launch all lanes by Dec-2025; to push logistic channel development progress to catch the timeline

	Team	Resource / support / alignment needed	Market progress						
			MY	ID	VN	TH	SG	PH	TW
Export Market	CB SMT	Provide SMT/RM resources to drive 1) seller acquisition; 2) seller onboarding and incubation; 3) BAU seller management (e.g., ops escalations, campaign)	Done	Done	Done	Done	Done	Done	Done
	SPX / Logs	Support first-mile logistics channel and rate card set-up	Done	Done	Done	WIP	WIP	WIP	WIP
	Finance / Payment	Align escrow payment flow to seller Provide resource for manual adjustment for seller escrow	-	Done	Done	Done	Done	Done	WIP
	CS	Handle unmanaged seller enquiries on Direct selling	Done (MYSG) WIP (MYPH/MYTH)	Done	Done	Done	WIP	WIP	WIP
Import Market	CB BD	Provide marketing resources / packages to support new Direct sellers Provide resources for marketing credit top-up	Done	-	-	Done	WIP	WIP	WIP
	SPX / Logs	Support last-mile logistics channel set-up	Done	-	-	WIP	Done	Done	-
	Finance / Payment	Align on revenue booking flow and fund transfer to export market	Done	-	-	Done	Done	Done	WIP
	CS	Support on buyer enquiries on Direct selling	Done	-	-	WIP	WIP	WIP	-
CB	CB BPM (Global Seller Center)	Build Global Seller Center for Direct selling	Done	Done	Done	Done	Done	Done	WIP
	CB BPM (Log)	Build CB logistics channel for Direct selling	Done (MYSG) WIP (MYPH/MYTH)	Done (Others) WIP (IDTH)	Done (Others) WIP (IDTH)	WIP	WIP	WIP	WIP
	CB Payment	Provide resource to update order escrow completed status	-	Done	Done	Done	Done	Done	Done
	CB SIP (Shop chat)	Provide resource to support selected shop chats	-	Done	-	-	-	-	-
	CB SIP (Fraud)	Integrate anti-fraud detection model with Direct selling	-	Done	Done	-	-	-	-
	CB SLS	Design Direct selling shipping rate card and vendor contracting Support CB channel setup and RR process	Done	Done	Done	Done	WIP	WIP	WIP
HQ	Legal / Finance / Tax clearance	Provide HQ legal / finance / tax clearance on Direct selling launch	Done	Done	Done	Done	WIP	WIP	WIP
	Legal (TOS)	Provide Direct selling TOS	Done	Done	Done	Done	WIP	WIP	WIP

Highlights

- RM resources: Aligned for all export markets
- Seller incentive packages: Aligned for all import markets for 2025 incentive packages
- Other resources alignment: to re-coordinate with Local logs/SPX team to facilitate the development of logistic channel

[Summary next steps] Direct selling Aug-Sep focus: (1) Improve scope and performance for launched lanes (2) prepare for new lanes launching in Aug

Lane type	Category	Next-step actions
Launched lanes	Grow sellers	● Work out the proposal to motivate local RM more on direct selling pitching and seller support ● Organize monthly mass pitching via system pop-up across lanes ● Support local SMT to build success cases for pitching
	Improve SKU migration	● Continue weekly cadence to revive deleted SKUs from SIP-returned shop ● Push system tool to mass-resync SKUs for sellers ● Push for listing limit lift for new Direct shops
	Improve SKU effi	● Support local SMTs to push for competitive price and ads investment ● Nominate new Direct sellers to destination focus programs that they qualify ● Provide seller education materials on destination market education
Upcoming lanes	Prep launch	● Coordinate system, logistics, and other infrastructure readiness for the launch ● Finalize SMT and pitching resources with export and import markets ● Clear legal/tax/finance for launch

5. BR-MY opportunity assessment

BRSIP to MY Assortment: 82% of BR SKU are unique in MY platform; Within matched SKU, net price competitive index is -94%; to deep dive into unique SKU for sellability

Deep Dive

Cluster	BR local (meeting onboarding criteria)		Unique		Matched		Cheap		Expensive		Net Competitiveness Index
	BR local ADO	BR performing SKU #	ADO	SKU	ADO	SKU	ADO	SKU	ADO	SKU	
Fashion	399,750	57,407	322,354	48,745	77,396	8,662	1,918	306	75,476	8,662	-96%
Lifestyle	788,169	122,974	578,679	99,107	209,490	23,867	3,382	597	206,043	23,262	-95%
EL	78,516	12,118	42,064	7,384	36,452	4,734	1,013	136	35,412	4,591	-94%
FMCG	521,180	85,964	428,290	74,572	92,890	11,392	2,999	446	89,890	10,946	-92%
Total	**1,839,883**	**288,689**	**1,409,580**	**237,663**	**430,304**	**51,026**	**9,738**	**1,581**	**420,472**	**49,736**	**-94%**

Highlights

- 289K BR local SKU contributes 80% of local ADO and are eligible for SIP migration
- 238K SKU **(82% of total SKU) are unique** in MY platform
- For 51K matched SKU, **Net Competitiveness Index is only -94%**. Expect ADO impact will be insignificant.
  - Each cluster and category shows similar price competitiveness pattern
- Will deep dive into unique SKU for sellability in the following pages.

Assessment criteria: Unique SKU can perform only when it has certain market demand with existing recognition/brand awareness, competitiveness, suitability to ecommerce and logistic

Dimension	Key Questions	Why It Matters
1. Market Demand	Is there **consumer interest** or trend for this product? Is it already being sold locally or regionally?	Determines product-market fit; demand drives adoption
2. Existing Recognition/ Brand Awareness	Is the **brand or product already known** via global media, tourists, etc.?	Familiarity reduces friction and builds trust quickly
3. Price Competitiveness	Are there entrenched Shopee players with dominant market share? Can the product be **priced within buyer's acceptance range** after duties/logistics?	Determines how aggressive marketing/pricing must be
4. Uniqueness / Differentiation	Is there a **unique selling point** vs. local substitutes?	Differentiation is critical to stand out in a crowded market
5. E-commerce Suitability	Is the product **easy to sell online**? (sizing, visuals, description, education)	Some products need offline touch or education to convert well
6. Logistics / Shipping	Is the **product size/weight friendly for cross-border**?	Affects cost, delivery time, and buyer experience

Focus Category: BR Coffee/Foowear/Beauty has high or medium potential in most criteria; however, all having low price competitiveness when selling to MY

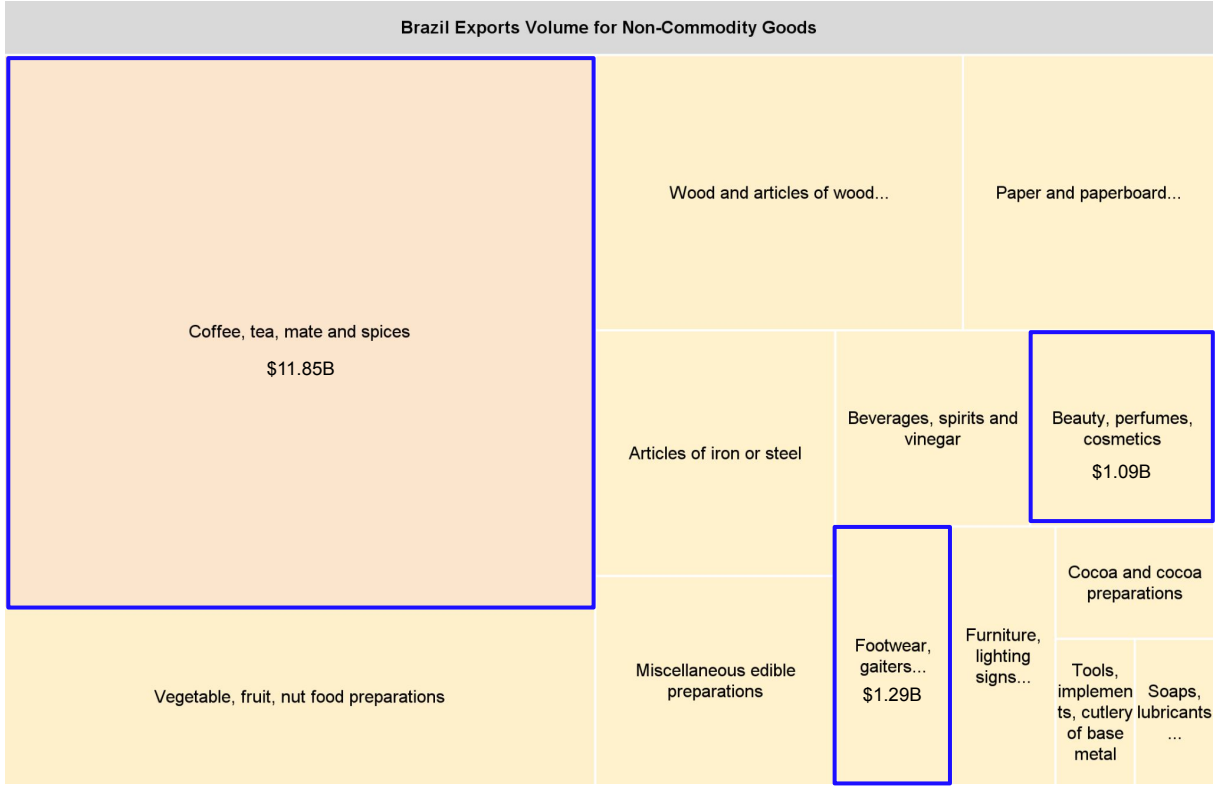
Brazilian Product Category	E-Commerce Demand (Shopee MY)	Existing Recognition/ Brand Awareness	Price Competitiveness	Differentiation	Ecommerce/Logistic Fit	Overall Potential
Coffee	🟢 High	🟢 High	🟡 Low	🟢 High	🟡Medium	🟢🟡🟡
Footwear (Scandals, Slippers)	🟢 High	🟢 High	🟡 Low	🟢 High	🟢 High	🟢🟡🟡
Beauty (Hair Oil, Body Cream)	🟡 Medium	🟢 High	🟡 Low	🟢 High	🟡 Medium	🟢🟡🟡
Apparel (Beachwear)	🟡 Medium	🟡 Medium	🟡 Low	🟡 Medium	🟢 High	🟡🟡🟢
Leather Bags & Accessories	🟡 Medium	🟡 Medium	🟡 Low	🟡 Medium	🟡 Medium	🟡🟡🟡

Deep Dive

Highlights

- BR Coffee, Footwear and Beauty are recognized globally with high market demand in MY. However **price competitiveness is low** when selling to MY.
- BR brand is recognizable in SEA
  - Coffee: Pilão, 3 Corações, Pilão, Café do Ponto, Orfeu Cafés Especiais, O'Coffee / Unique Cafés
  - Footwear: Havaianas, Ipanema/Zaxy/Rider (Grendene), Melissa / Carrano / Savelli, Beira Rio (Moleca, Vizzano, Modare), Olympikus

[Backup] Macroeconomic data shows BR Coffee, Beauty and Footwear are popular globally and suitable for ecommerce, given sizeable exports volume and customer awareness from Brazilian origins



Source: https://tradingeconomics.com/brazil/exports-by-category

Highlights

Potential categories

- **Coffee & F&B:** Malaysia has rising demand for premium/organic coffee; Brazilian coffee is globally known, though local taste needs testing
- **Beauty & Cosmetics:** Malaysians love K-/J-beauty, but niche natural brands (like Novex, Natura) from Brazil could differentiate
- **Footwear:** Flip-flops and sandals are climate-friendly & culturally common

Other categories:

- Ecommerce logistic constraint: Vegetables/Wood/Iron/Beverage/ Furniture
- Lack of awareness: Tools/Soap

Focus Category Price: Suggest not launch BR to MY, given BR assortment selling in MY is much more expensive than MY selling price for both brand and non-brand assortment

BR selling | BR in MY selling | MY Platform selling

L3 Coffee	Price Range Comparison	L30D ADO BR	L30D ADO MY	Total SKU # BR	Total SKU # MY	Key Insights
	$0 $10 $20 $30					
Brand		407	2,387	515	2,053	Coffee market demand is high >9K ADO Price competitiveness is low when BR assortment sells in MY.
Non-Brand		2,221	6,494	11,309	96,766	Local brand seller SKU# is limited.

L3 Flat Sandals	Price Range Comparison	L30D ADO BR	L30D ADO MY	Total SKU # BR	Total SKU # MY	Key Insights
	$0 $10 $20 $30					
Brand		491	1,271	2,555	5,571	Price competitiveness is low when BR assortment sells in MY.
Non-Brand		15,861	4,170	122K	215K	Total SKU# is considerable

L3 Body Cream, Lotion & Butter	Price Range Comparison	L30D ADO BR	L30D ADO MY	Total SKU # BR	Total SKU # MY	Key Insights
	$0 $10 $20 $30					
Brand		1,055	1,116	1,537	1,825	Price competitiveness is low when BR assortment sells in MY.
Non-Brand		7,197	3,831	102K	135K	Total SKU# is considerable

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[Backup] BR-MY Price breakdown: BR coffee item price at US$3.97 will be sold at US$14.82 in MY due to high mark up from SLS fee (152% Mark up)

Type	Component	BR-MY	Mark-up
	BR COGS	**$3.97**	
Fixed mark-up components	**Shipping**	**$6.72**	169%
	... BPSF (in BR)	$0.70	18%
	... Logistic Cost	$6.02	152%
	OPEX	**$0.70**	18%
	MY Platform fees	**$1.82**	46%
	... Commission	$1.54	39%
	... Service fee	0	0%
	... Transaction fee	$0.28	7%
	Tax (Import tax + VAT)	**$0.80**	20%
Variable mark-up components	**Marketing costs (Ads+rebate)**	**$0.80**	20%
	MY selling price	**$14.82**	273%

Highlights

- Logistic cost is based on 300g average weight. Cost is high because LH+CC cost from BR to MY is estimated at $18/kg, similar to ID to LATAM actual LH+CC cost level.
- MY platform fees/Tax will be much lower if logistic cost can be reduced, as commission base includes HPFN.